

Article | 4 September 2026

Webinar: Central banks, inflation, and the rate hike gamble

Join ING's economists and strategists for a live webinar on 9 September to discuss the September round of Federal Reserve, European Central Bank, Bank of England and Bank of Japan meetings. Sign up [here](#)



The world's major central banks are edging closer to further rate hikes this month as the economic outlook improves and inflation concerns prevail. That comes at a particularly perilous time for the global bond market, as monetary policy combines with debt sustainability concerns to push yields ever higher.

[Join ING's economists and strategists](#) for a live webinar as they look ahead to the September round of Federal Reserve, European Central Bank, Bank of England and Bank of Japan meetings. You'll learn:

- Why the Fed is edging towards a rate hike this month – and why the data doesn't necessarily back it up
- How the ECB's September rate hike could be the last
- Why the bar remains high for a Bank of England rate hike – and why rate cuts are still likely in 2027
- Whether the Bank of Japan will pick up the pace of monetary tightening this month
- The impact on FX and the outlook for major currency pairs

Details

Date: Wednesday 9 September

Time: 1430 BST/1530 CEST/0930 ET

The webinar will last 45 minutes, including a Q&A session at the end.

The event will take place online and the waiting room will open 60 minutes ahead of the scheduled start time.

A joining link will be emailed following registration and you will receive a reminder email 10 minutes before the scheduled start time.

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Article | 2 September 2026

ECB preview: How to hike rates without creating more market turmoil

We expect the ECB to hike interest rates by 25bp next week. As long as inflation remains mainly energy-driven, hiking rates further beyond next week would not make a lot of sense and could harm the eurozone economy



The European Central Bank looks set to hike rates by 25bp next Thursday

The stage looks increasingly set for another rate hike at next week's European Central Bank meeting. Not only because some ECB members already advocated for a rate hike at the July meeting, but also because, since then, the eurozone economy has shown an almost unexpected resilience to the war in the Middle East. This is partly due to good luck and to Asian competitors being hit harder by the closure of the Strait of Hormuz and losing orders to European competitors, but also to long-announced fiscal stimulus.

At the same time, headline inflation has continued to edge higher and looks set to stay above 3% year-on-year for the remainder of the year, even if other inflation measures like core and services currently provide no reason to panic. With oil prices remaining elevated and the risk of a fresh gas price shock increasing, it will be hard for most ECB policymakers not to see a clear case for another rate hike.

Even if the ECB doesn't like the term, the second rate hike this year would also fall into the

category of 'insurance rate hike', or maybe more to the central bank's liking: a rate hike to strengthen its credibility and to preempt any possible indirect or even second-round effects from the current energy price shock.

No clear signals from the new staff projections

The new round of staff projections will not bring any significant changes but should remain supportive for the rate hike proponents. Given that the cut-off date for the staff projections is normally some two weeks before the Governing Council meeting, the latest surge in bond yields as well as higher energy prices again will not have played a role in the forecasts. In fact, until a week ago, the so-called external assumptions were almost at similar levels as in the June forecasts.

Against this background, we expect the ECB's growth and inflation forecasts to be revised upwards slightly, mainly due to earlier statistical upward revisions of first-quarter growth and slightly higher oil prices. Base and carry-over effects could lead to marginally higher growth and inflation forecasts for 2027. More generally speaking, it will be interesting to see whether the ECB will also present updates of the alternative scenarios from June. While in July it almost looked as if the ECB's 'milder' scenario could materialise, we are now rather somewhere between the 'base' and 'adverse' scenario.

Looking beyond next week

Whether the ECB will really go beyond a September rate hike is a completely different story. Markets have started to price in at least another hike before year-end, and views at the ECB seem to increasingly diverge. While an ECB blog article this year supported our own view that the current inflation wave is mainly driven by energy prices and that drivers matter when identifying (and reacting to) an inflation shock, comments by Isabel Schnabel and Irish central bank governor Gabriel Makhlouf hint at a clear willingness to hike further.

However, with one additional rate hike (next week), the deposit rate at 2.5% would still be within the range the ECB itself calls neutral. Going further would mean that the ECB sees restrictive monetary policy as necessary. But there is a big difference between an economy that has shown resilience and an overheating economy that needs restrictive monetary policy. We still find it hard to see – amid public finance woes and surging bond yields – that the ECB would really be willing to add more fuel to the fire. Or in other words, it's difficult to envisage the ECB being willing to risk a recession to tackle what is still a textbook supply-side shock.

ECB's reaction to the recent surge in bond yields

Another topic for next week's ECB meeting and the following press conference will be the latest surge in bond yields – and, related to this, concerns about debt sustainability in Europe (and

elsewhere). At first glance, this surge is actually coming in handy for the ECB. Bond markets are doing the ECB's job, i.e., tightening financing conditions. According to macro models, a 50bp increase in bond yields has a slightly larger impact on inflation and GDP growth than a 50bp increase in the ECB's policy rate.

Consequently, the main challenge for the central bank will be not to add too much fuel to the fire. Remember the unwarranted tightening of financing conditions. In fact, as long as inflation is not under control, it is not so much the absolute level of long-term interest rates but rather the spread between eurozone countries that is of most concern for the ECB. Some tightening of financing conditions can ease the ECB's job; too much tightening, and unequal tightening, would bring new problems.

This is why questions may eventually arise as to whether the ECB would be willing to restart asset purchases, now under the label of the Transmission Protection Instrument. Let's be clear, this is not a debate for now. But if debt sustainability concerns grow, possibly ahead of next year's French presidential elections, markets might want to test the ECB. We have seen it before. In this context, a debate that has so far been confined largely to the yellow press might become more policy-relevant: the possibility of an early exit for Christine Lagarde as ECB president and the question of who would be her successor. Some of the names of possible candidates currently circulating have, at least in the past, not been strong supporters of quantitative easing.

All in all, we expect the ECB to hike interest rates by 25bp next week. Another insurance rate hike. Or for those who don't like this term: a dovish rate hike.

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Article | 4 September 2026

UNITED STATES

US jobs report beats all expectations, boosts case for a September hike

The US added 162,000 jobs in August, above all expectations in the market, with an additional 55,000 of upward revisions to the past two months. With Fed Chair Kevin Warsh describing the US at full employment, this outcome has nudged expectations of a September rate hike higher, but the final decision hangs on next Friday's inflation print



The August jobs report was stronger than expected, with construction one of the bright spots. The stronger number could result in a September rate hike, but we still have next week's inflation numbers

162,000 US jobs added in August

Better than expected

Solid job gains, unemployment stays low

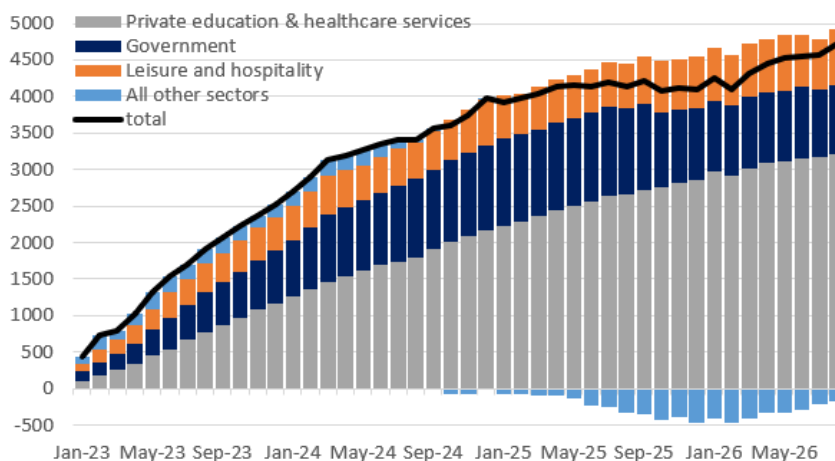
Today has seen the release of a strong US August jobs report that makes a September Fed

interest rate hike look a [little more likely](#). NFPs rose 162k with 55k of upward revisions to the past two months. Expectations were for just a 55k rise in total. The unemployment rate remains unchanged at 4.1% despite an improvement in the participation rate. Wage growth is benign, rising 3.1% year-on-year.

The details show the private sector contributing 127k of the 162k total new jobs, with leisure and hospitality rebounding 62k after two consecutive down months and private education & healthcare adding 29k. Construction added 22k and manufacturing added 16k. Government was also firm despite small drops in federal and state government employment. Instead, it was local government education, which rose 42k that led the charge. That is a surprise given media coverage of falling pupil enrolment and supposed lay-offs in the sector.

Jobs growth continues to be dominated by just three sectors – private education and healthcare services, government and leisure and hospitality. This concentrated story is underscored by the fact that cumulatively, all other sectors of the economy have lost jobs since the end of 2022. That is a remarkable situation given the strength of GDP growth seen over that period and implies big productivity gains and reinforces the message about robust corporate profitability in the United States.

Cumulative increase in employment since December 2022 (000s)



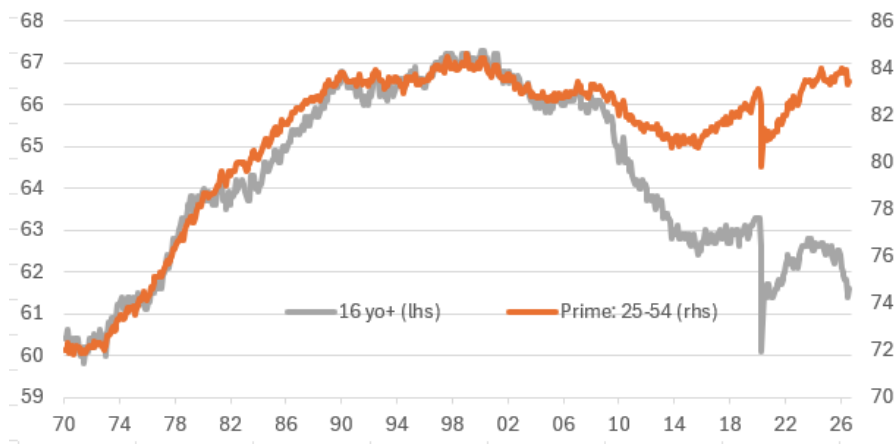
Source: Macrobond, ING

Labour force participation remains worryingly weak

In terms of the household survey, used to calculate the unemployment rate, it showed a 569k increase in employment and a 115k increase in unemployment facilitated by a 683k increase in the civilian labour force. This is a partial correction to a startling trend of people leaving the workforce. Ten months ago, the participation rate was up at 62.6%, falling to 61.4% in July, but

now back to 61.6%.

Labour force participation (%)



Source: Macrobond, ING

A soft inflation print could still tempt the Fed to hold steady

Unsurprisingly, the market has moved to price 16bp of a 25bp rate hike, up from 12.5bp yesterday after Fed Governor Waller's relatively dovish comments whereby he suggested a soft inflation print could mean he votes for stable policy. Next Friday's CPI report will indeed be the key decider and the 0.4% month-on-month increase in headline prices and a 0.2% increase in core (ex food and energy) prices, which is what both we and the consensus predict, is probably not cool enough to prevent Warsh nudging the rest of the FOMC into a hike.

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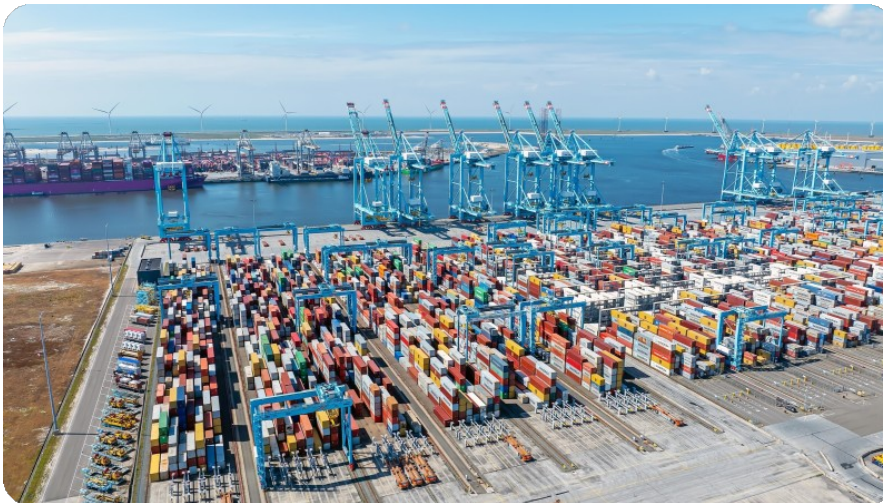
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Article | 3 September 2026

Europe's search for a new growth model

The external environment that sustained the eurozone's export-led model for decades has changed for good. This means that the growth engine can now rebalance towards domestic demand or benefit from a reinvented export edge. Neither comes with a clear-cut playbook, and both can go horribly wrong



Rotterdam port in the Netherlands is the largest port in Europe

Why change a winning team?

Europe's economic model worked so well for so long that changing it never felt particularly urgent. For decades, Europe was one of the biggest beneficiaries of globalisation. Trade became an ever-larger part of the economy, companies gained access to fast-growing markets abroad, and consumers benefited from cheap imports.

Calls for more innovation, higher productivity and stronger competitiveness never disappeared, but they rarely moved beyond strategy papers and political ambitions. Why change a winning team? The Lisbon Strategy of 2000, which promised to make Europe “the most competitive and dynamic knowledge-based economy in the world” by 2010, is a useful reminder of how long Europe has been discussing today's challenges. And of how little discussion alone achieves.

The discussion has since become even more pressing. The Russian invasion of Ukraine and the energy crisis have pushed up production costs, while Chinese firms have become increasingly competitive in industries that Europe once regarded as its natural strengths. At the same time,

global trade has become less predictable and more politicised.

The effects are increasingly visible in trade flows. Since 2019, eurozone imports from China have grown by around 50% while exports to China have declined, widening the eurozone goods trade deficit with China by more than €150bn. But bilateral trade balances should not be confused with competitiveness. To assess competitiveness, it is more useful to look at market shares. Here too, the picture has deteriorated. Europe's traditional strength in machinery and transport equipment has weakened, with trade surpluses shrinking and Chinese firms gaining ground in sectors such as electric vehicles. Even pharmaceuticals, the undisputed bright spot in European trade with exports up more than 80% since 2019, are not immune to growing Chinese competition, as China's share of eurozone imports continues to rise.

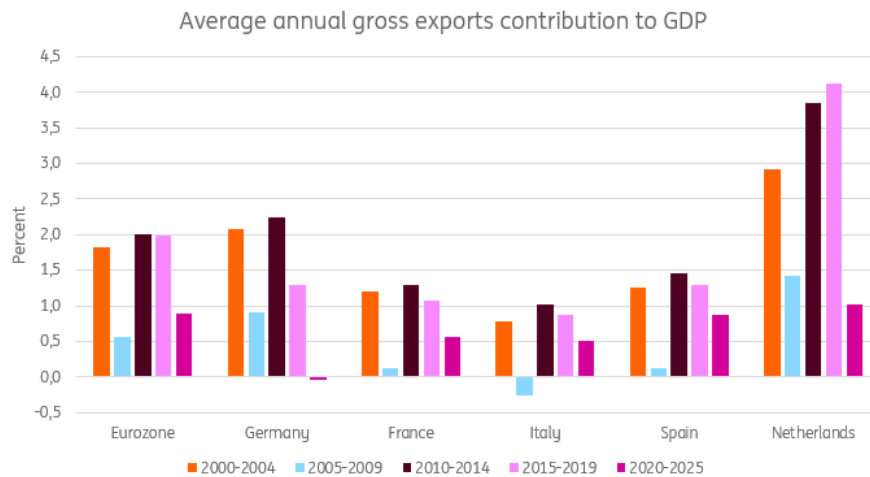
A trade surplus that once seemed entrenched is being eroded by several sides at once. And while a trade surplus is not necessarily a sign of economic strength or something to pursue, the shrinking surplus is illustrative of a deteriorating growth model characterised by manufacturing specialisation, strong external demand, sustained export-market gains and sizeable current-account surpluses. Subsidies, industrial policy and trade barriers may slow the adjustment and buy time for businesses to adapt, but they are unlikely to recreate the conditions of the 2010s.

This is what makes today's competitiveness debate different from earlier ones. While the war in the Middle East and US tariffs have dominated headlines over the past year, they are only one part of the story. The larger challenge is that the external environment on which Europe's growth model relied has changed fundamentally. As a result, the eurozone is being pushed towards a new growth model. The question is what that model will look like.

The engine is sputtering

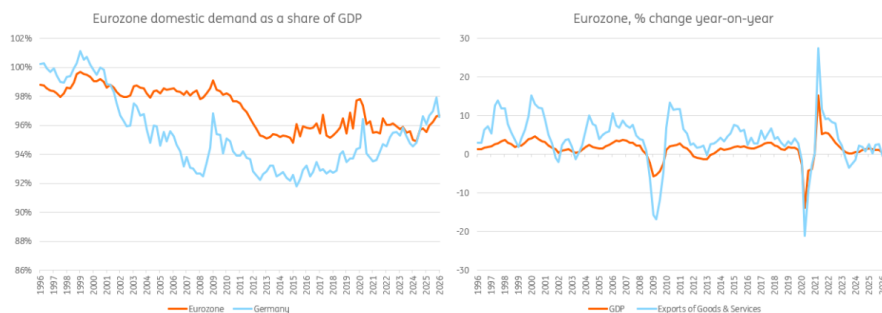
The pressure on the trade balance stems mainly from the export side. The eurozone has become less of an export powerhouse in recent years. To put this into perspective, the contribution of gross exports to GDP was, on average, around two percentage points per year in both the first and second half of the 2010s. Since 2020, that contribution has fallen below one percentage point, and in Germany, of all places, it has turned slightly negative. The Netherlands, the eurozone's most open economy, has seen the export contribution to growth drop to a quarter of its pre-pandemic level.

Contributions of gross exports to GDP have fallen this decade



The same picture emerges over a longer time horizon. Since the mid-1990s, eurozone exports have outpaced GDP growth in every expansion and contracted more sharply than GDP in downturns. Meanwhile, domestic demand as a share of GDP retreated after the financial and euro crises and has never fully recovered. But in recent years, there has been a pickup. And in Germany, this pickup seems more structural. The current expansion is the first in which export growth has failed to outgrow the economy. Of course, there are temporary factors playing a role here, but the structural story behind it is becoming harder to ignore.

The role of exports in GDP growth is moderating



Homemade growth

One possible response to a weakening export engine is a more domestically driven growth model, in which the eurozone's large pool of relatively wealthy consumers and businesses as well as fiscal stimulus become a larger source of growth through consumption and investment. This is more than a theoretical possibility. The eurozone combines high household wealth, substantial private savings and relatively low levels of household leverage with significant investment needs in defence, infrastructure, energy and digitalisation. If these

resources can be mobilised more effectively, domestic demand could become a stronger source of growth than it has been for much of the past decade.

Recent initiatives could give such a shift additional momentum. Higher defence and infrastructure spending, particularly in Germany, are boosting investment demand. The Savings and Investments Union aims to channel Europe's large pool of savings towards productive investment, while policymakers are increasingly focused on reducing barriers within the single market. Together, these developments could provide stronger support for domestic demand than Europe has seen in many years.

But how likely is it that domestic demand can simply take over? It's a clear opportunity, but we don't want to close our eyes to the complications either. Below, we focus on three limiting factors: the lack of historical precedents, the euro, and demographics.

The precedent problem

There are remarkably few examples of countries that have successfully moved from an export-led to a domestically-driven growth model. The United States is the obvious one: a large trade surplus at the end of World War II turned into the historically large deficits of the current era, while the economy kept growing. The dollar's reserve currency role did not cause America's shift towards persistent external deficits, but it made those deficits easier and cheaper to finance than they would be for almost any other country. The US could rebalance on other people's savings.

The other precedents are less flattering. Historical experience suggests that external rebalancing is compatible with solid growth when it reflects higher productive investment, but not when it is driven by credit-fuelled demand booms or declining competitiveness. Or worse, often the so-called rebalancing happens in times of severe crisis. Finland's current account surplus shrank sharply after 2008, but mainly because of the demise of Nokia and weaker export performance; GDP growth fell from around 3% to essentially zero. That was rebalancing out of weakness, not strength.

Spain, Portugal and Greece saw their external balances deteriorate after entering the monetary union as cheap capital fuelled consumption and construction booms. Growth was strong until the bubble burst. Too much of the capital flowed into housing and non-tradables rather than productivity-enhancing investment, leaving these economies exposed when financing conditions tightened after 2008. Ireland was, to a degree, in the same boat as Southern Europe but has recently become more of a rebalancing success story. However, its national accounts are so distorted by multinational activity that both GDP and current account figures need to be taken with a large pinch of salt.

This means there is no blueprint for a highly developed economy to deliberately and successfully transform its economic business model away from exports to more domestic

demand. The eurozone would be entering uncharted territory.

Can a 'global euro' help build a new growth model?

As the US was able to use the dollar's status as the world reserve currency to rebalance, could the euro perhaps be of help as well? A successful rebalancing and a strong euro are best understood as a feedback loop rather than a one-way street. If Europe's domestic investment story becomes credible, foreign capital would flow in and the euro could strengthen. A stronger euro, in turn, raises households' purchasing power, lowers import costs and shifts relative incentives away from exporting and towards serving the home market – which is precisely what a rebalancing requires. This is the mechanism that dollar strength provided for the US for decades.

The loop, unfortunately, also runs in reverse. A weak euro flatters exporters, subsidises the old model and postpones the adjustment – while making imports, not least energy, more expensive for the domestic economy. European Central Bank President Christine Lagarde has been promoting a “global euro moment”. And while the euro's international role has increased modestly (when measured at current exchange rates), it would be a stretch to call this a material shift towards euro assets in global financial markets.

Without deeper and more liquid capital markets, a genuine European safe asset and a larger pool of investable euro instruments, the euro will not get the reserve-currency tailwind that carried the American rebalancing. In short: the currency will not lead this transition, but it is a gauge of where the transition stands. Markets will reward a credible rebalancing with a stronger euro, and punish an unconvincing effort by keeping the eurozone dependent on the very export model it is trying to outgrow.

Ageing makes domestic demand growth more challenging

Demographics are the second complication, and they lean against the domestic-demand story rather than for it. Eurozone population growth is grinding to a halt due to rapid ageing, and ageing societies are not natural consumption machines. Without much population growth, it is a lot harder to increase demand. On top of that, while the theory is ambiguous, we so far see that older households save well into retirement, run down wealth more slowly than the textbooks assume so far, and shift their spending towards services and pharma rather than the goods and housing that drive investment cycles. The effects of ageing on labour supply, potential growth and the composition of demand also make a domestically-led acceleration of economic growth hard to achieve.

Japan is the main advanced market that has already gone through a sizeable demographic decline and its growth model has become more reliant on exports over time. The period of significant ageing of the Japanese population went hand in hand with a rising, not falling, share of exports in GDP although this also went hand in hand with a prolonged balance sheet

recession. As the domestic market matured and shrank, Japanese companies increasingly looked abroad for growth, and the economy as a whole relied on earning income from the rest of the world to fund retirement at home. If Europe's future relied on ageing consumers suddenly discovering their inner spender, this is again something that hasn't really been done before.

In Japan, ageing has come with a rising share of exports in GDP



Source: Macrobond

A second lease for the export model

The lack of clear historical precedents suggests that Europe's way forward does not necessarily lie in a rebalancing towards domestic demand alone. Another possibility is that Europe retains an export-oriented growth model, not by defending yesterday's champions, but by building tomorrow's. Europe remains one of the world's largest trading blocs, home to global industrial leaders, deep engineering expertise and a large integrated market. If these strengths can be translated into new competitive advantages, exports could continue to play a central role in growth. Several candidates for these new export champions stand out. Defence and aerospace benefit from a rearmament cycle that will run for a decade and from procurement volumes that finally offer European scale; Airbus is the proof that Europe can build a global champion when it pools resources. Pharmaceuticals and medical technology are already the bright spot of European trade, and an ageing world is a growing market. Although China is rapidly building a strong position in pharma at the moment as well.

In green technologies, the solar battle is lost and the EV battle is difficult, but grid technology, wind services and nuclear expertise remain contested rather than conceded. Industrial AI and robotics may be Europe's most underrated card. Europe will not out-compete the US or China in AI models, but applying AI to the world's largest installed industrial base - the machine data

of thousands of hidden champions - is a race that is still open. And services exports have quietly become a larger share of the European story, from business services to tourism, with a persistent surplus that rarely makes headlines.

Add to this the recently agreed trade agreements – Mercosur, India, Australia – which could support export volumes, even if their effect on the trade balance is uncertain and likely to be modest.

Still, none of these opportunities are guaranteed. European exporters face higher energy costs, intensifying competition from China, fragmented capital markets and a single market that remains incomplete in important areas. Creating new export champions is therefore not simply a matter of identifying promising sectors. It requires the same ingredients that would underpin a successful domestic-demand story: stronger productivity growth, deeper capital markets, room for innovation and a business environment that allows firms to scale. Not impossible as [we argue here](#), but a lot of work to be done.

Four roads for the eurozone economy

Ultimately, the choice is not necessarily between one model and the other. A stronger domestic economy also breeds more opportunities for European businesses to become global export champions. By strengthening the foundations of the eurozone economy, Europe could support both a more demand-driven growth model and a renewed export advantage. But without a healthy foundation, weaker versions of both could be a realistic outcome as well.

To illustrate this, we define four stylised scenarios for the eurozone as it grapples with the erosion of its old growth model. In these scenarios, the key uncertainty is not whether Europe becomes more dependent on domestic demand or continues to rely on exports. It is whether Europe can generate sufficient productivity growth and new competitive advantages to support either model. A balanced economy without productivity growth risks stagnation; an export economy without new areas of competitiveness risks decline.

	Successful transition	Unsuccessful transition
More domestically driven economy	1. Prosperity at home	2. Stagnant Europe
Export model remains central	3. Industrial renaissance	4. Disneyland Europe

1. Prosperity at home – Europe finds a new growth engine in its own market

Europe deliberately shifts away from dependence on external demand and develops a stronger internal growth model. Initiatives to strengthen domestic demand through public and private investment succeed. A more aggressive shift towards renewables and nuclear power reduces energy dependence significantly, and structural reforms unlock activity. Supported by

the savings and investment union, Europe becomes more attractive for foreign investors; capital inflows strengthen the euro. The wage moderation efforts of the past decades are not repeated as labour becomes more expensive.

Together with the stronger euro, this reinforces purchasing power. Trade surpluses narrow almost automatically – a symptom of success, not failure. Europe imposes import restrictions on Chinese products but keeps the European market open for Chinese investment. While Europe remains dependent on US AI providers, the smart application of AI lifts productivity, and services become a larger share of European growth.

2. Stagnant Europe – rebalancing without renewal

Exports lose momentum and trade surpluses disappear, but Europe fails to generate sufficient domestic dynamism to compensate. Higher commodity prices weigh on purchasing power and ageing and weak productivity dominate. As European exporters lose market share and exports cease to be the main growth driver, the European growth model does indeed become more balanced – but it is a balance of the race-to-the-bottom kind. Productivity remains weak, companies increasingly invest abroad, and the current account balances not because domestic demand rises but because there is less and less to export. Rebalancing by default rather than by design: the Finnish experience at a larger scale.

3. Industrial renaissance – Europe creates the next generation of export champions

Europe retains an export-orientated model, but not by defending existing industries. Reforms in the home market allow for better scaled companies. The basis for revived growth is similar to our 'Prosperity at home' scenario. New, globally competitive sectors emerge and sustain strong external demand: defence, aerospace, renewable technologies and pharma, among others. Industrial AI applications and robotics keep European companies at the forefront of global industry, converting the world's largest installed manufacturing base into a productivity advantage. Labour costs are kept under control by wage moderation and technological advancements. The model stays recognisably European – open, trade-oriented, engineering-heavy – but with a new generation of products under the hood.

4. Disneyland Europe – fighting yesterday's battle

Europe doubles down on preserving existing industrial structures through subsidies, protectionism and wage restraint. The export model remains the ambition, but competitiveness continues to weaken as structural reforms stay superficial and half-hearted. Regulation continues to dominate AI implementation, keeping potential productivity gains low. This is the worst-case scenario: a continued, gradual deterioration of prosperity in which Europe's most reliable growth industry becomes showing tourists from Asia and America what a great economy once looked like. Culture and history, after all, are harder to ruin than economic prosperity.

Le roi est mort – but where is the heir?

The old European growth model will not be voted out of office; it is being retired by the world around it. The real choice facing Europe is therefore not between a domestic-led and an export-led model. It is between deliberate change and change by default. Both 'Prosperity at home' and 'Industrial renaissance' are within reach, and they are not even mutually exclusive – a stronger home market and new export champions could happily coexist. Even if historical evidence clearly suggests that an 'industrial renaissance' would be the model with a higher chance of success.

In any case, both outcomes require the same clear but also disruptive policy choices, in order to achieve productivity growth, cheaper energy, deeper capital markets and reforms that survive contact with national politics. In fact, Europe won't need to choose a new business model upfront, it simply needs to do its homework and then step back to see which model will prevail. One thing is for sure: doing nothing would push the European economy further into its very own 'Nokia' moment.

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Article | 3 September 2026

HEALTHCARE

Trump's MFN policy is reshaping global pharma, not prices

The Trump Administration this week announced nine new most-favoured nation (MFN) deals with mid-sized pharma companies. As the MFN model continues to expand, its implications for the industry are becoming increasingly clear: the US is attracting investment and Europe is losing out. The benefits for American patients, however, are far less certain



The recent most-favoured nation deals are not likely to result in lower prices for US patients, but will bring investment into the US

The US consumer is yet to see a significant drop in medicine prices

The nine new agreements expand the MFN framework to 26 manufacturers, which, according to the White House, covers around 89% of the branded drug market. However, this does not materially alter our core view that the direct impact on branded pharmaceutical margins will remain limited.

We have consistently argued that MFN pricing, which links US drug prices to those paid in other developed markets, does not necessarily trigger broad-based price cuts in the US for three

reasons:

- First, price cuts for current drugs only apply to Medicaid, which makes up just 10% of the US market.
- Second, MFN only applies to new launches and manufacturers can partly manage the reference price by delaying or limiting launches in lower-priced markets.
- Third, it is likely that pricing agreements will exclude medicines that are used exclusively for rare diseases.

Given that the US is responsible for roughly 50% of revenues and often around two-thirds of branded pharma profits, companies have an incentive to delay launches in other markets. The incentive to delay a lower-priced European launch will be strongest for medicines whose revenues depend primarily on maintaining a high price, rather than on generating large volumes at a lower price.

The impact of MFN on prices is therefore manageable for the industry. It is no wonder, then, that we have seen many branded pharma companies raise guidance over the past year, signalling that these agreements generally protect profitability.

But the policy will attract manufacturing to the US

While the direct pricing impact of MFN may be limited, the policy is likely to further accelerate the shift of pharmaceutical manufacturing to the United States. Tariffs and pricing pressures are a powerful incentive to localise production because the US market is so profitable. The nine latest signatories committed at least \$19.6bn in US manufacturing investment, bringing total announced industry commitments since tariffs and MFN to nearly \$670bn.

More broadly, both Republicans and Democrats increasingly view pharmaceuticals and biotechnology as strategic industries critical to national security, meaning that policies that strengthen US control of biopharma supply chains will likely be structural rather than just a Trump-era phenomenon.

Europe faces an access issue and lacks a coherent response

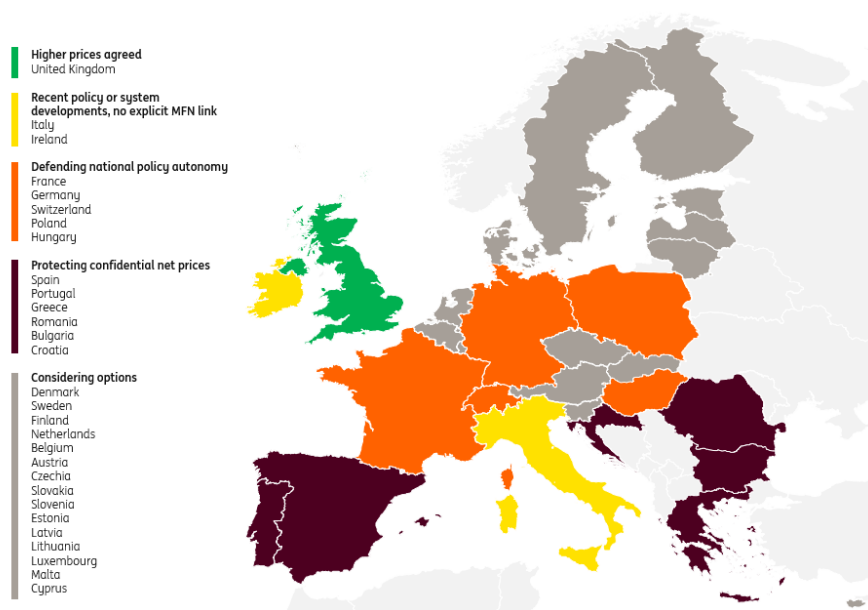
For countries used as pricing benchmarks, MFN means an increasing access challenge. As US prices are elevated, medicine launches in reference countries may be delayed. Through the first four months of 2026, we have seen a decline of 25% in drug applications at the European Medicines Agency compared to the same period last year. Europe, therefore, faces an increasing access issue, which is bad news for European patients.

European policymakers have so far offered a limited and uncoordinated response. Many governments seem to want to ignore the issue, while only the UK has increased its prices for new innovative therapies and Ireland and Italy have recently enacted reforms, though without an explicit link to MFN.

The unwillingness of many European governments to address this issue is understandable given fiscal pressure from increased healthcare and social security spending due to ageing populations and increased defence spending. However, we believe upward price pressure from the American government and the industry will not go away.

Europe's response to MFN has been mostly wait-and-see

EU27 + the UK and Switzerland classified according to their response to MFN



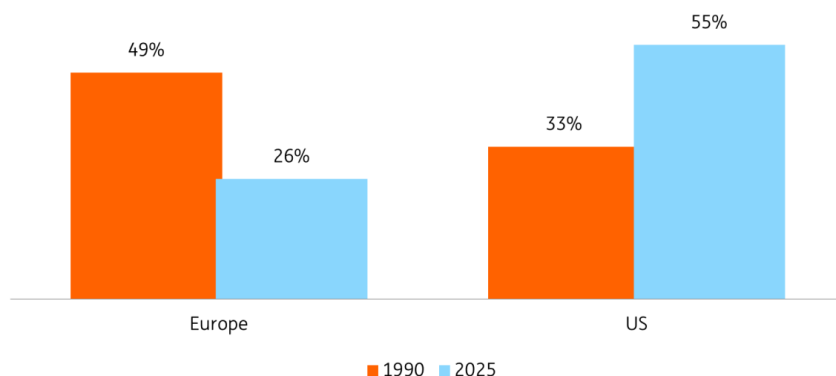
Source: ING

Increasing prices is not enough to fix Europe's competitiveness issue

This means that Europe needs a more coordinated response, not just because of MFN, but also because of the EU's ambition to make Europe [the most attractive place in the world for life sciences](#). In fact, the continent is losing ground to both the US and [China](#): Europe saw its share of global clinical trials decrease from roughly 35% in 2009 to roughly 20% in 2024, and its share of global private R&D has declined significantly since 1990, while the share of the US has more than doubled.

European share of R&D spending has declined rapidly

European and American biopharmaceutical R&D spending as a percentage of global spending in 1990 and 2025



Source: ITIF; ING

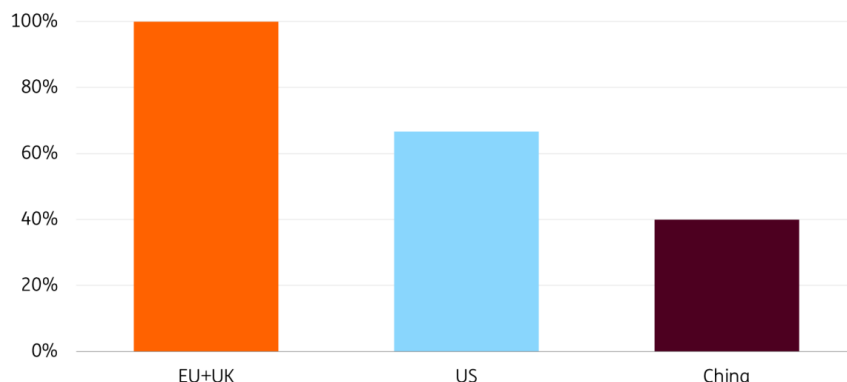
The structural issue at the heart of this decline is not a result of MFN; the policy merely exposes and may intensify longstanding weaknesses in the continent's life-sciences model. In contrast to what many in the industry say, this competitiveness issue is not simply a result of price, but rather of the continent's institutional setup.

Although the EU is technically one market, health policy is still a national policy domain. This means that Europe has a common medicine authority, but still has 27 different Health Technology Assessment (HTA) frameworks, 27 different pricing regimes, and it lacks a common capital market, which means that European biotechs tend to be funded by US venture capital and private equity funds as they mature.

These biotechs then tend to launch in the US because they have to deal with only one regulator and can enter a market of 300 million people and command a higher price, which is why Europe faces a problem commercialising its science. Europe therefore risks losing appeal both as a launch market and as a destination for future pharmaceutical investment, despite the sector's substantial economic contribution.

Europe's scientists are top-notch

Number of citations in top pharma journals as a percentage of 'leader'



Source: ING estimates based on Coface and NIH

The European Commission has correctly identified many of these challenges through initiatives such as the Pharmaceutical Package and the Biotech Act. However, progress at the national level remains lacklustre. As a result, increasing drug prices alone would do little to reverse Europe's declining attractiveness unless accompanied by broader reforms that improve market access, funding, regulatory alignment and the ability to commercialise innovation at scale.

MFN boosts US investment, hurts Europe and offers little relief to drug prices

While the White House presents the latest agreements as a major win for patients and public budgets, the impact on drug spending may be more limited than the headlines imply. MFN savings are likely to be concentrated in specific medicines rather than translating into a broad reduction in pharmaceutical expenditure.

The more significant consequence will be for investment flows: the policy strengthens incentives to locate production and investment in the United States.

As Europe still needs to formulate a coherent response, the region risks becoming a less attractive launch market for innovative medicines and could gradually lose out on future pharmaceutical investment, clinical development activity and manufacturing capacity.

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Article | 8 September 2026

RATES

Rates Spark: Growth disappointments would still build a bullish case

With oil approaching \$100 again, euro rates are following higher. But the upward pressure is not just about energy costs; the growth picture is important too. That also means disappointing economic performance can quickly trigger a material bullish move in rates



Oil prices are pushing rates up again

Energy and inflation dynamics still driving euro rates

While US markets closed for the Labor Day holiday on Monday, pressure on EUR rates continued to build at the short end as geopolitical headlines pushed up oil prices. The 2y Bund yield is back to 3%, nearing the peaks of last week.

Energy prices remain an area where EUR rates are more sensitive than their US counterparts. But it is worth remembering that the impact is not distributed evenly across the curve.

While 2y Bund yields have risen 90bp versus levels observed at the start of the year, 10y yields have risen around 55bp. More importantly, only 30bp is due to actual inflation expectations rising (measured by inflation swaps). In terms of contributions, that is still more than in the US, underscoring the exposed position of the eurozone.

The flipside is that, even without the rise in inflation expectations, the 10-year Bund yield would still be above 3.1%. The remaining increase in real yields reflects not only more resilient domestic growth expectations, but also a higher global term premium linked to rising actual and expected debt levels. As a result, a significant decline in long-end yields hinges on more than just easing geopolitics.

Disappointing growth can still easily trigger lower rates

Imagining a scenario whereby EUR rates reprice significantly lower is not that difficult. If the improving growth outlook were to disappoint, the ECB's reaction function could change quickly. Not only would near-term policy rate expectations see a dovish repricing, but the neutral rate would likely be pulled lower as well.

Arguably a one-off inflation shock from oil should not have a lasting impact on the neutral rate. The EUR curve currently positions for an ECB terminal rate of around 3%, well above the 2% that was targeted for much of 2025. If the eurozone economy does not deliver on the heightened expectations, a repricing of the ECB landing zone could easily shave off 50-100bp from longer rates. Not our base case, but something to keep in mind.

Tuesday's events and market views

A light day in terms of data. From the US, we have the NFIB small business survey. Consensus sees a slight deterioration in the sentiment index. More interesting could be Bank of England speakers in the UK Parliament. The central bank's pace of quantitative tightening will be reviewed in September, so any hints of a slower pace will be watched by markets.

Austria will auction €1.4bn in total across a 4y RAGB and a 9y RAGB. Germany will offer €1.5bn of Green Bunds across 6y and 15y maturities. Spain is set to bring a €4bn 20y SPGB Green via syndication.

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FX Talking

Don't call it a dollar comeback



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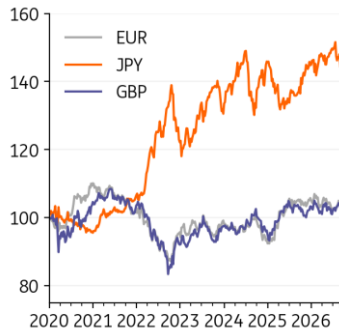
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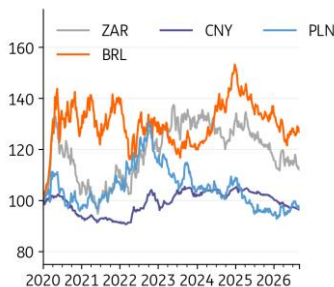
FX Talking

USD/Majors (Jan 20=100)



Source: Refinitiv, ING forecast

USD/EM (Jan 20=100)



Source: Refinitiv, ING forecast

Don't call it a dollar comeback

It remains a very close call, but the ING house view now favours a Fed rate hike later this month. Bearish flattening of the US yield curve is typically positive for the dollar, especially against the low yielders. We now see EUR/USD ending this year at around 1.16 from 1.18 previously. Yet this is not 2022 and the Fed is not about to embark on a significant tightening cycle. Our forecast dollar decline is delayed not cancelled.

We now push that cyclical dollar drop back to next spring, when US inflation should have dropped close to 2% and markets should be swinging back towards a normalisation story of the policy rate returning to 3.25%. It is not our baseline call, but that dollar drop could come earlier were uncertainty to emerge around US mid-term results in November or if Washington lost control of the bond market.

Another wild card is USD/JPY. A lot of yen-positive news is priced in, including a faster Bank of Japan tightening cycle and perhaps some major portfolio adjustments amongst local fund managers. Unless we are under-estimating a major US-Japan policy accord, USD/JPY looks more likely to trade a 155-160 range than immediately drop under 150.

Elsewhere in G10, relative value trades will continue to be popular. The scope for even higher rates in Australia and Norway should keep the Aussie dollar and krone supported, while a higher interest rate environment should keep the Swiss franc on the back foot.

Within EM, high yielders should remain favoured given what should continue to be a low volatility world. The Turkish lira will remain popular, but the Brazilian real will be watched closely ahead of October elections. We still like the Hungarian forint, with budget plans in October shining a light on euro aspirations. And in Asia, the North-South divide continues.

ING FX forecasts

	EUR/USD		USD/JPY		GBP/USD	
1M	1.15	↓	159	↑	1.34	↓
3M	1.16	↓	159	↑	1.33	↓
6M	1.18	↑	158	↑	1.34	↓
12M	1.19	↑	157	↑	1.32	↓
	EUR/GBP		EUR/CZK		EUR/PLN	
1M	0.86	→	24.20	↓	4.3	↑
3M	0.87	↑	24.20	↓	4.29	↑
6M	0.88	↑	24.15	↓	4.28	↑
12M	0.9	↑	24.10	↓	4.28	↑
	USD/CNY		USD/MXN		USD/BRL	
1M	6.70	→	17.25	↑	5.15	↓
3M	6.70	↑	17.25	↑	5.15	↓
6M	6.67	↑	17.25	↑	5.00	↓
12M	6.60	↑	17.25	↓	4.75	↓

↑ / → / ↓ indicates our forecast for the currency pair is above/in line with/below the corresponding market forward or NDF outright

Source: Refinitiv, ING forecast

FX performance

	EUR/USD	USD/JPY	EUR/GBP	EUR/NOK	AUD/USD	USD/CAD
%MoM	0.6	-1.4	0.3	-1.8	2.2	-0.8
%YoY	-1.2	5.4	-1.1	-8.1	9.6	0.2
	USD/CNY	USD/KRW	EUR/HUF	EUR/PLN	USD/ZAR	USD/BRL
%MoM	-0.5	-4.6	-0.3	0.3	-1.1	1.0
%YoY	-5.9	-3.1	-7.9	1.5	-8.7	-5.4

Source: Refinitiv, ING forecast

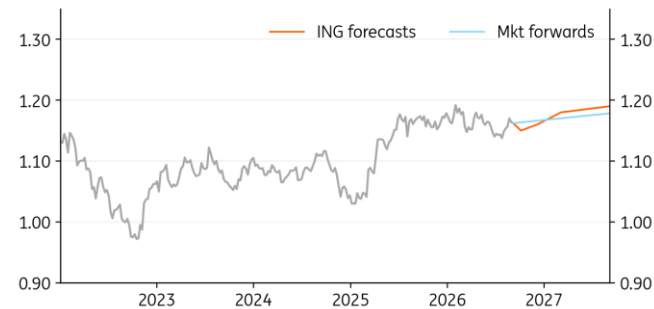


Developed markets

EUR/USD

September Fed hike delays dollar drop

Current spot: 1.1623



Source: Refinitiv, ING forecasts

- It is a close call, but after Kevin Warsh's hawkish speech at Jackson Hole, we now see a 25bp Fed hike to 4.00% on 16 September. The baseline view then assumes unchanged Fed policy until the fourth quarter of 2027. Importantly, we do not see a significant drop in short-dated US rates until the second quarter of next year, when US headline inflation should be back to 2%.
- A flatter US yield curve, assuming no disasters at the long end of the Treasury curve, can keep the dollar better supported against the low yielders into early 2027. Hence the lower EUR/\$ profile.
- Expect an ECB hike to 2.50% on 10 September, but it may prove a dovish hike in light of the pressure building on French bonds ahead of budget season and elections next March.

ING forecasts (mkt fwd)	1M 1.15 (1.1627)	3M 1.16 (1.1654)	6M 1.18 (1.1695)	12M 1.19 (1.1785)
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Chris Turner, chris.turner@ing.com

USD/JPY

Highly volatile

Current spot: 155.50



Source: Refinitiv, ING forecasts

- Joint US-Japan intervention a month ago has been backed up by frenzied speculation of a Japanese policy response at home. The market now prices a Bank of Japan rate hike to 1.25% on 18 September, with strong expectations of another hike in December. One-month JPY OIS rates are now priced at 2.00% next summer, up by 50bp over the last month.
- A faster pace of BoJ tightening and speculation that Japan's \$2tr GPIF could increase portfolio weights to domestic assets have dragged USD/JPY to 155. Lots of yen-positive news is priced in.
- A Fed hike can see USD/JPY trading a wide 155-160 range, rather than breaking lower just yet. But downside risks prevail if we are underestimating a Washington-Tokyo policy accord.

ING forecasts (mkt fwd)	1M 159 (155.14)	3M 159 (155.15)	6M 158 (154.06)	12M 157 (151.99)
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Chris Turner, chris.turner@ing.com

GBP/USD

Fiscal story returns

Current spot: 1.3532



Source: Refinitiv, ING forecasts

- Sterling has been reasonably supported, helped by its high 3.80% deposit rate and low volatility. There was a hint of sterling weakness when the global bond sell-off dragged 10-year gilt yields over 5.20%, but it proved fleeting. The focus could shift over the next couple of months to the fiscal side, with new Chancellor John Healey delivering his first budget on 28 October.
- Presumably fiscal credibility will be paramount, but investors will be interested in any possible GBP-negative tax rises emerging.
- Money markets still price a 70bp Bank of England tightening cycle, which we see as unlikely. Those expectations may not completely disappear until early next year, however.

ING forecasts (mkt fwd)	1M 1.34 (1.3518)	3M 1.33 (1.3519)	6M 1.34 (1.3519)	12M 1.32 (1.3511)
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Chris Turner, chris.turner@ing.com

EUR/JPY

Intervention watch ongoing

Current spot: 180.72



Source: Refinitiv, ING forecasts

- Following the US Treasury's decision to intervene in EUR/JPY in late July, this pair comes off sharply whenever there is talk of 'rate checks' or imminent intervention. As per the USD/JPY view, it looks like the yen has a lot of the good news priced in already, and it would take a 50bp BoJ rate hike on 18 September to drive this cross a lot lower. A 180-185 range remains our preference here.
- Another factor speaking against a summer 2024-like sell-off (EUR/JPY fell 11% at the time) is that the speculative market is far less short yen now than it was back then.
- Risks are probably skewed to the downside if we are underestimating Japanese initiatives or French politics flare up.

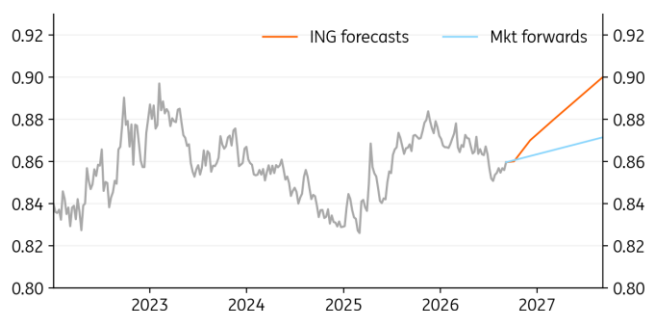
ING forecasts (mkt fwd)	1M 183 (181.23)	3M 184 (180.12)	6M 186 (180.17)	12M 187 (178.30)
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Chris Turner, chris.turner@ing.com

EUR/GBP

Finding the right level

Current spot: 0.8589



Source: Refinitiv, ING forecasts

- Three-month EUR/GBP realised volatility has fallen to the lowest levels on record at under 3% per annum. FX option prices have never been lower. Clearly the market thinks EUR/GBP has found some equilibrium level in the 0.85-0.86 area.
- We had been looking for some sterling weakness to be coming through by now, but low volatility conditions and sterling's high risk-adjusted yields look to be keeping it bid.
- UK activity data typically slows down into year-end and at the margin will cement the majority position of the doves at the BoE. We still like EUR/GBP heading higher but are lowering the profile as high energy keeps tightening expectations embedded.

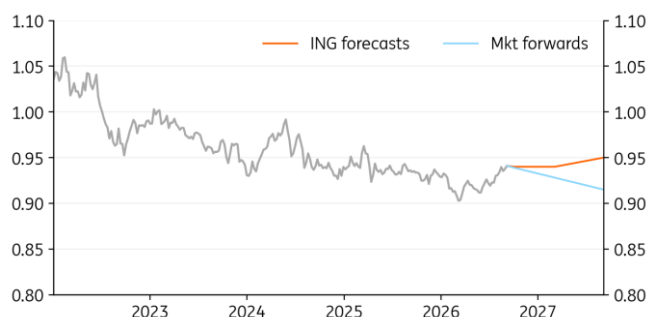
ING forecasts (mkt fwd)	1M 0.86 (0.8601)	3M 0.87 (0.8618)	6M 0.88 (0.8651)	12M 0.90 (0.8714)
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Chris Turner, chris.turner@ing.com

EUR/CHF

Rate differentials versus the debasement trade

Current spot: 0.9415



Source: Refinitiv, ING forecasts

- Two opposing forces are driving EUR/CHF at present. The first is higher energy prices which are pushing short term interest rates higher around the world. But the Swiss National Bank is seen as one of the last to hike given that low inflation and wider differentials have largely supported EUR/CHF. Against that is the debasement trade. The first action of investors on hearing of US Treasury intervention in the bond market was to sell USD/CHF.
- The SNB meets on 24 September. Growth has been surprising on the upside, but low inflation suggests the central bank will be in no hurry to tighten.
- Expect EUR/CHF to continue trading off energy and US policy.

ING forecasts (mkt fwd)	1M 0.94 (0.9386)	3M 0.94 (0.9351)	6M 0.94 (0.9277)	12M 0.95 (0.9150)
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Chris Turner, chris.turner@ing.com

EUR/SEK

ECB and Riksbank pricing both too hawkish

Current spot: 11.15



Source: Refinitiv, ING forecasts

- Rising oil prices have brought renewed upside volatility to EUR/SEK, with developments in the Middle East set to remain the key near-term driver.
- We have become less convinced that the Riksbank will remain on hold through year-end. February remains our baseline for the next hike, but the risk of an earlier insurance move in November or December has increased. The outlook will depend largely on energy prices, core CPI developments, and policy decisions by the ECB and Fed.
- Markets are pricing 30bp of tightening by year-end and 90bp by end-2027. While we view that pricing as overly hawkish, the same is true of EUR curve, limiting the case for material revisions higher in the EUR/SEK forecast. Given our geopolitical baseline views, we continue to expect a downward-sloping profile.

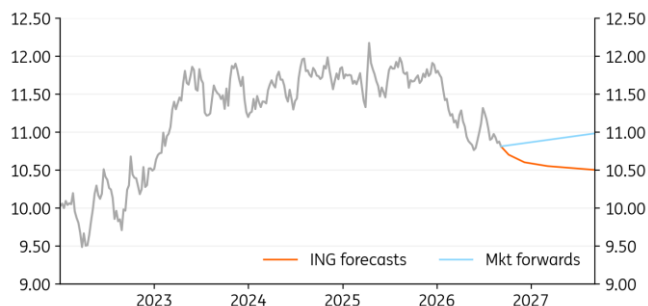
ING forecasts (mkt fwd)	1M 11.05 (11.11)	3M 10.90 (11.13)	6M 10.80 (11.08)	12M 10.60 (11.06)
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Francesco Pesole, francesco.pesole@ing.com

EUR/NOK

NOK remains in a solid spot

Current spot: 10.79



Source: Refinitiv, ING forecasts

- We expect the Norwegian krone to remain broadly appealing. Oil and gas prices may be slower on the way down in a new Gulf de-escalation, and likely to land above pre-war levels.
- We see the NOK curve as one of the few in G10 that doesn't overestimate tightening: 25bp by December and rates mostly flat at 4.50% afterwards. Our preference is for a hike in November, but September would become an option too as underlying inflation may bounce back above 3.0% in August. We don't think Norges Bank will want to close the door to further tightening, leaving additional upside room for NOK's front-end rates.
- We see downside risks in the short-term extending to around 10.70 in EUR/NOK. From 4Q onwards, we have a shallower profile as we expect energy prices to abate.

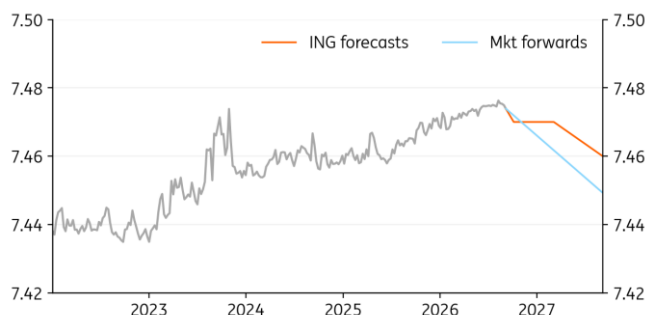
ING forecasts (mkt fwd)	1M 10.70 (10.83)	3M 10.60 (10.84)	6M 10.55 (10.91)	12M 10.50 (10.98)
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Francesco Pesole, francesco.pesole@ing.com

EUR/DKK

Scaling up FX intervention

Current spot: 7.4745



Source: Refinitiv, ING forecasts

- The Danish central bank returned to FX intervention in August, purchasing DKK5.6bn (around USD870m) to support the krone. That was a more sizeable intervention compared to the minuscule DKK0.7bn in June, but remains small compared to the 2022 FX buying that averaged more than DKK13bn per month.
- The small sizes can signal two things: 1) the central bank is fine with a slight appreciation in EUR/DKK (incidentally, the pair did inch lower in August) or 2) they are preparing to hike rates more than the ECB at one of the upcoming meetings.
- We think the latter remains a concrete risk, with September being a potential target meeting. We have revised our EUR/DKK marginally higher but still expect an eventual return to the 7.460 central peg by mid next year.

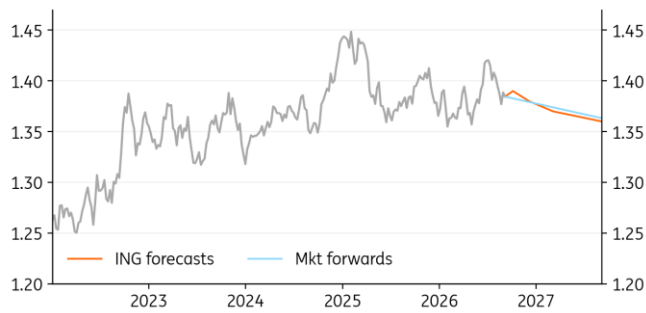
ING forecasts (mkt fwd)	1M 7.47 (7.4723)	3M 7.47 (7.4670)	6M 7.47 (7.4602)	12M 7.46 (7.4493)
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Francesco Pesole, francesco.pesole@ing.com

USD/CAD

Underpricing tariff impact

Current spot: 1.3829



Source: Refinitiv, ING forecasts

- We think there is room for some build-up in trade-related risk premium in CAD as ongoing tensions can have material ripple effect on Canadian activity and jobs. That should be most evident in CAD underperforming similar commodity peers.
- The Bank of Canada has turned more hawkish but admitted that rising inflation risks are linked to energy prices rather than tariffs. A Gulf de-escalation could quickly ease those concerns, as core inflation has remained anchored at or just below 2.0%. We still aren't convinced of a hike this year, which is now fully priced in.
- Our short-term bullish USD view paired with an underpriced tariff premium can lift USD/CAD back to 1.39-1.40 in the next weeks. But we assume negotiations will eventually lead to a deal, and a USD decline in 1H27 can take the pair back to 1.37.

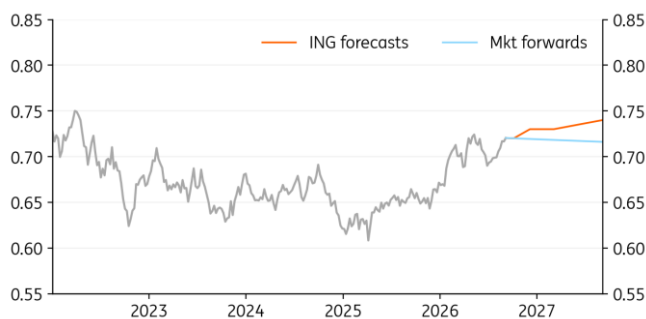
ING forecasts (mkt fwd)	1M 1.39 (1.3821)	3M 1.38 (1.3772)	6M 1.37 (1.3726)	12M 1.36 (1.3633)
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Francesco Pesole, francesco.pesole@ing.com

AUD/USD

RBA can hike once more

Current spot: 0.7222



Source: Refinitiv, ING forecasts

- A hot CPI print in July, followed by strong 2Q GDP figures, has reinvigorated hawkish expectations on the RBA. We now see a 25bp September hike to 4.60% as a very tangible possibility. Governor Michele Bullock has signalled no hesitation to tighten further if inflation proves sticky again, and a Fed hike in September can also help tilt the balance to the hawkish side.
- Market pricing is 16bp for September and 37bp by March. With Middle East uncertainty staying elevated, we expect the RBA to keep a hawkish tone, even if we don't forecast any further hikes beyond 4.60%, as our baseline remains a gradual oil decline.
- We expect AUD to weather a short-term USD rebound better than most other G10 currencies thanks to the strong domestic story. We are sticking to our 0.73 year-end AUD/USD forecast.

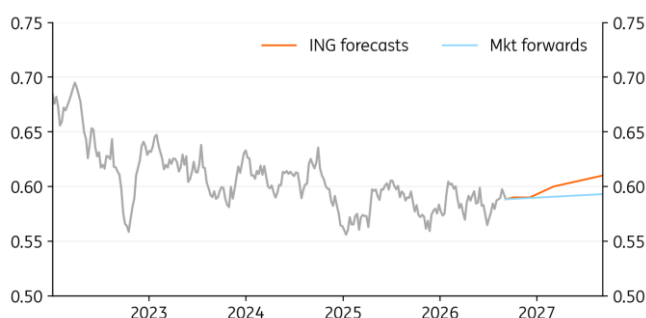
ING forecasts (mkt fwd)	1M 0.72 (0.7199)	3M 0.73 (0.7211)	6M 0.73 (0.7180)	12M 0.74 (0.7161)
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Francesco Pesole, francesco.pesole@ing.com

NZD/USD

Dovish RBNZ makes NZD a laggard

Current spot: 0.5880



Source: Refinitiv, ING forecasts

- The RBNZ delivered a dovish surprise in September, even as it raised rates to 2.75%. Latest guidance suggests further tightening remains possible, but updated projections pushed back against expectations for a terminal rate above 3.0%.
- We currently expect one more hike in December (fully priced in), but think markets still overestimate the tightening cycle, with over 60bp discounted by next summer. For the moment, we agree with RBNZ projections that inflation will stay below 4.0% in 3Q and 4Q, and return below 3.0% from 2Q27. The Bank's growth concerns mean that the oil rally needs to prove quite persistent to match markets' hawkish bets.
- At this stage, AUD still looks more attractive than NZD, which is less supported by domestic fundamentals and is more dependent on an eventual USD decline to return towards 0.60.

ING forecasts (mkt fwd)	1M 0.59 (0.5885)	3M 0.59 (0.5894)	6M 0.60 (0.5908)	12M 0.61 (0.5930)
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Francesco Pesole, francesco.pesole@ing.com



Emerging markets

EUR/PLN

Zloty hit by risk-off mood

Current spot: 4.3129



Source: Refinitiv, ING forecasts

- The zloty weakened as the US-Iran conflict re-escalated and concerns about Russian hybrid warfare in Europe fuelled a risk-off mood. EUR/PLN recently rose towards 4.35, but we expect the move to be short-lived.
- Although we do not share the market's expectations of interest rate hikes in Poland in the coming months, those bets prevent the zloty from the negative impact of external factors.
- Our mid-term view on zloty remains unchanged. Expect a limited rise in €/USD in 2H26; sustainable GDP outperformance of regional peers and expected inflows of EU funds justify slightly lower levels of the €/PLN exchange rate.

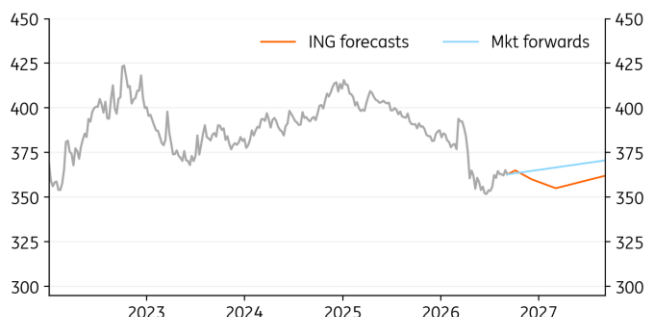
ING forecasts (mkt fwd)	1M 4.30 (4.3169)	3M 4.29 (4.3272)	6M 4.28 (4.3398)	12M 4.28 (4.3712)
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Mateusz Sutowicz, mateusz.sutowicz@ing.pl

EUR/HUF

The gloomy days won't last too long for the forint

Current spot: 362.18



Source: Refinitiv, ING forecasts

- With the HUF having outperformed peers and experienced a one-sided market since April, a correction was inevitable. However, we believe that the outlook remains positive.
- The Monetary Council is rightfully non-committal in the current environment. On the one hand, the inflation outlook is much better than the central bank anticipated in June. However, unfavourable developments in risk premiums and energy prices counterbalance this. As a result, markets are pricing in only a small chance of further rate cuts.
- We believe that a brief pause in the easing cycle and some calmness in global markets could see the EUR/HUF move back to 360 or even lower. This is especially likely if the inflation target review and the medium-term budget plan are credible.

ING forecasts (mkt fwd)	1M 365 (363.02)	3M 360 (364.59)	6M 355 (366.57)	12M 362 (370.61)
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Péter Virovác, peter.virovacz@ing.com

EUR/CZK

Koruna's main advantage will lose its lustre

Current spot: 24.21



Source: Refinitiv, ING forecasts

- A positive interest rate differential in both nominal and real terms has given the koruna a significant advantage over the euro in recent years. This advantage has intensified since late 2024 in real terms, reaching 2.6 percentage points in August.
- The Czech real interest rate has averaged 1.8% this year, while the eurozone equivalent has remained negative since March. The expected pickup in Czech CPI is set to push the real yield close to zero early next year, reducing the koruna's leading advantage.
- Add the somewhat disappointing economic performance over 1H26, and the koruna no longer looks poised for the substantial appreciation it saw in 2025. It will hold its current value, but gradual strengthening trend requires a stronger economy.

ING forecasts (mkt fwd)	1M 24.20 (24.22)	3M 24.20 (24.27)	6M 24.15 (24.30)	12M 24.10 (24.43)
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David Havrlant, David.havrlant@ing.com

EUR/RON

Pressures could amplify in the near term

Current spot: 5.2520



Source: Refinitiv, ING forecasts

- EUR/RON moves have amplified slightly over the past month but have nevertheless remained contained in the 5.23-5.26 range. With the upcoming S&P rating decision due on 2 October, rating worries have been mounting. Positively, the budget deficit stood at 2.34% of GDP as of July 2026 (vs 3.99% in July last year), a key positive factor supporting Romania's credit story.
- That said, the main development to watch remains the push for a fully empowered government committed to fiscal consolidation. After narrowly escaping a downgrade in the summer, our base case is that Romania will maintain it provided a solid governance deal is sealed soon.
- We expect the pair to remain within its current range and close the year near 5.25.

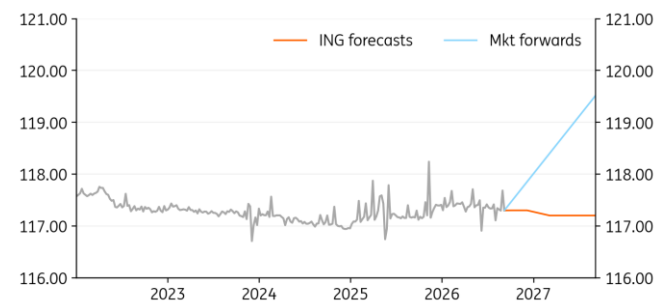
ING forecasts (mkt fwd)	1M 5.25 (5.2660)	3M 5.25 (5.2958)	6M 5.26 (5.3400)	12M 5.30 (5.4000)
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Valentin Tataru, valentin.tataru@ing.com

EUR/RSD

No major changes expected in the coming months

Current spot: 117.35



Source: Refinitiv, ING forecasts

- EUR/RSD has continued to trade mostly sideways in the range of 117.3–117.4. Importantly, the US Treasury's OFAC has extended the operating waiver for Serbia's NIS refinery until 30 September, as the deal with MOL is in its final stages.
- The recent fiscal expansionary measures led to a revision of the deficit from 3.0% to 3.5% of GDP in 2026, mainly reflecting higher social expenditure. That said, from a macro imbalances standpoint, Serbia's position remains robust at this stage.
- At its August meeting, the National Bank of Serbia kept the key rate in place at 5.75%, noting that uncertainty remains elevated despite a better inflation outlook. Between January and July, the Bank sold €320m to keep the pair stable – we expect FX stability to remain in place.

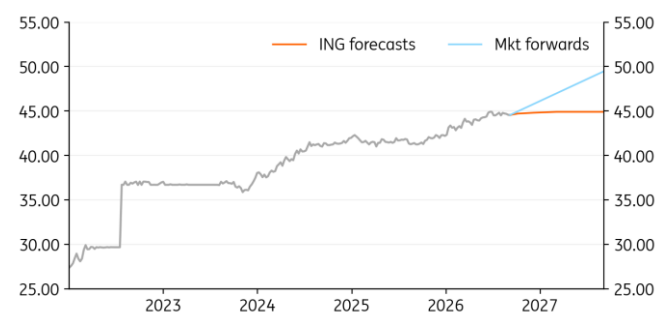
ING forecasts (mkt fwd)	1M 117.30 (117.50)	3M 117.30 (117.98)	6M 117.20 (118.42)	12M 117.20 (119.52)
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Valentin Tataru, valentin.tataru@ing.com

USD/UAH

Hryvnia strengthens despite headwinds

Current spot: 44.53



Source: Refinitiv, ING forecasts

- Even as the US dollar strengthened globally amid a more hawkish Fed, a renewed escalation in the Middle East and the ongoing war in Ukraine, the hryvnia managed to appreciate slightly.
- The hryvnia was supported by near-record FX interventions by Ukraine's central bank during the summer, and by July's 50bp rate hike to 15.5%, which strengthened the currency's resilience in an increasingly adverse external environment.
- According to National Bank of Ukraine minutes, most rate-setters believe that rates will need to be raised further this year. However, the outlook for the hryvnia remains cloudy as the macroeconomic environment remains challenging.

ING forecasts (mkt fwd)	1M 44.70 (44.93)	3M 44.80 (45.80)	6M 44.90 (47.04)	12M 44.90 (49.48)
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Mateusz Sutowicz, mateusz.sutowicz@ing.pl

USD/KZT

High real rates favour continued carry-trade

Current spot: 455.21



Source: Refinitiv, ING forecasts

- Contrary to our cautious expectations, the tenge appreciated to USD by 3% in August, and 5% during the summer months – despite oil flow disruptions and the decline in state support to the domestic FX market.
- In August, the combined net FX sales by quasi-sovereigns, the oil fund and the central bank dropped to \$0.3bn vs. \$1.7bn in May, while net foreign inflows into state bonds stopped after \$0.3-0.5bn inflows in June and July.
- The growing role of private capital flows has increased the KZT's reliance on carry trades, which is currently supported by high real rates which are likely to remain. Meanwhile, in the longer run, appreciation should be limited by structural factors.

ING forecasts (mkt fwd)	1M 460 (460.84)	3M 465 (470.83)	6M 465 (484.99)	12M 480 (509.29)
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Dmitry Dolgin, dmitry.dolgin@ingbank.com

USD/UZS

Supported by portfolio flows and restart of gold exports

Current spot: 11790.00



Source: Refinitiv, ING forecasts

- The soum showed 1% appreciation to USD in August after a relatively flat first two months of the summer. This was likely supported by the restart of gold exports, which totalled \$1.3bn in July.
- Between January and July, Uzbekistan exported only 18mt of gold vs. 85mt for the full-year 2025, suggesting scope for a pickup in the rest of the year, keeping us constructive on the current account and USZ prospects.
- Portfolio inflows are also likely to continue, as despite the recent indication from the central bank that the nominal policy rate of 14.00% may be lowered by year-end, the real rates are likely to remain attractive, given the 6.4% CPI.

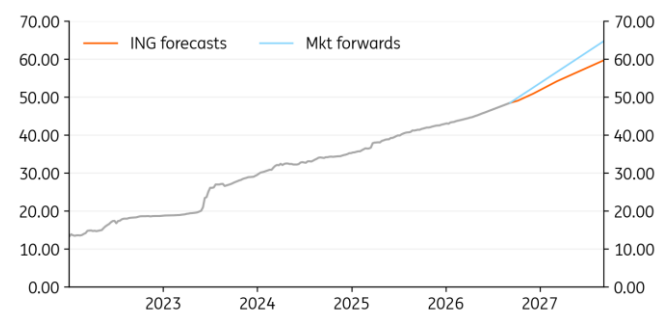
ING forecasts (mkt fwd)	1M 11710 (11820.50)	3M 11500 (11928.50)	6M 11500 (12069.50)	12M 11700 (12225.00)
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Dmitry Dolgin, dmitry.dolgin@ingbank.com

USD/TRY

Recovery in flows, moderation in growth

Current spot: 48.44



Source: Refinitiv, ING forecasts

- Foreign investor positioning has recovered from the US-Iran conflict shock, with long TL positions in FX swaps exceeding pre-war levels. However, bond inflows have remained modest. Meanwhile, TL deposit inflows continued, while the sector's dollarisation ratio fell from 39.9% in May to 38.5% by late August. Gross reserves reached US\$188.2bn.
- High borrowing costs and tighter macroprudential measures are contributing to a deeper slowdown in 2Q GDP growth. We expect the economy to maintain moderate growth in 2H26, although risks surrounding our 3.0% full-year GDP growth forecast have increased.
- Recently the central bank took a step to normalise liquidity by resuming repo auctions. Effective funding costs fell from 40% to the policy rate at 37%. The CBT is likely to remain on hold in September, but cut 200bp to 35% in the last qtr.

ING forecasts (mkt fwd)	1M 49.00 (49.63)	3M 50.90 (52.09)	6M 54.10 (55.93)	12M 59.70 (64.77)
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Muhammet Mercan, muhammet.mercan@ing.com.tr

USD/ZAR

Holding its own

Current spot: 15.96



Source: Refinitiv, ING forecasts

- The rand is enjoying a strong quarter and is the third-best performer in the EMFX space. It does tend to benefit from the dollar debasement trade, where the pick-up in gold and precious metals tends to be ZAR-supportive. It also performs well in the low-vol carry trade environment, where 6.5% implied yields remain attractive. Here investors think the South African Reserve Bank will need to hike again over the coming quarters.
- Notably South Africa's sovereign CDS continues to decline, implying a rating closer to BBB than its current BB. Domestic reforms in energy, logistics and fiscal are being welcomed.
- Stronger ZAR gains will probably come in 2Q27, when \$ rates drop.

ING forecasts (mkt fwd)	1M 16.25 (16.00)	3M 16.25 (16.07)	6M 16.00 (16.18)	12M 16.00 (16.40)
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Chris Turner, chris.turner@ing.com

USD/ILS

Low inflation allows rate cuts, weaker shekel

Current spot: 3.0042



Source: Refinitiv, ING forecasts

- Low inflation allowed the Bank of Israel to cut rates again in early September, with the policy rate now at 3.25%. That compares to 4.00% at the start of the year. If money markets are to be believed, investors expect some further aggressive rate cuts over the coming months – potentially taking the policy rate closer to 2.00%. For reference, three-month implied yields stand at 2.40%.
- FX buying intervention earlier in the year, rate cuts and what should now be at least one Fed hike should serve to keep USD/ILS above 3.00 now – which is the BoI preference.
- We also think the shekel is one of the most closely correlated currencies to the tech boom, so any correction here can weigh.

ING forecasts (mkt fwd)	1M 3.05 (3.0089)	3M 3.05 (3.0014)	6M 3.05 (2.9886)	12M 3.05 (2.9594)
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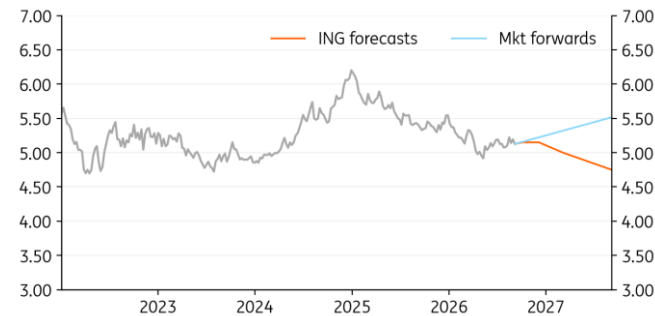
Chris Turner, chris.turner@ing.com

LATAM

USD/BRL

Presidential election race tightens

Current spot: 5.1261



Source: Refinitiv, ING forecasts

- Opinion polls show President Lula's lead over Flavio Bolsonaro narrowing sharply ahead of the 4 October election. As always, it is quite personal, with President Lula's son now seen weighing on his father's chances, and negative headlines on Supreme Court Justice Alexandre de Moraes. Some polls have Lula's lead cut to just 1-2%. Foreign investors prefer Bolsonaro's policies of fiscal restraint and deregulation over Lula's plans for more social spending.
- We expect the BRL to hold onto recent gains and continue to outperform the forwards, where three-month implied yields stand at around 12.3%.
- The market thinks BACEN can still cut the policy rate another 50bp to 13.50%, but much will depend on the election outcome.

ING forecasts (mkt fwd)	1M 5.15 (5.1649)	3M 5.15 (5.2249)	6M 5.00 (5.3144)	12M 4.75 (5.5150)
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Chris Turner, chris.turner@ing.com

USD/MXN

USMCA uncertainty

Current spot: 16.89



Source: Refinitiv, ING forecasts

- USD/MXN has been flirting with sub-17 levels as low volatility continues to favour the carry trade. Implied volatility probably has some further way to fall, meaning that the peso's risk-adjusted carry can nudge a little higher.
- But we are not comfortable calling a sustained move lower in USD/MXN. The policy spread over the US is very narrow at 275bp and could get narrower if Banxico doesn't follow a Fed hike.
- The macro is less MXN-supportive too. Washington switching to an annual review of the USMCA damages the investment environment. Reports suggest some automakers might move production facilities from Mexico to Vietnam now.

ING forecasts (mkt fwd)	1M 17.25 (16.93)	3M 17.25 (17.01)	6M 17.25 (17.13)	12M 17.25 (17.38)
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Chris Turner, chris.turner@ing.com

USD/CLP

Copper challenges

Current spot: 934.58



Source: Refinitiv, ING forecasts

- The pickup in short-dated US yields has helped USD/CLP move closer to the top of its 910-950 range. Copper prices remain supportive for CLP, generating strong profits for local miner Codelco, but mask local production challenges. Here, Chile's copper production has fallen 10% YoY, with northern mines hit by bad weather. A super El Niño later this year may only make matters worse.
- A low-probability, high impact and negative event for copper and the peso is the US tariff story. Copper stockpiles are still being sucked into the US ahead of possible tariffs. Were tariffs to be avoided, these flows could strongly reverse.
- CLP is a little more vulnerable now that US rates are higher.

ING forecasts (mkt fwd)	1M 925 (934.45)	3M 925 (933.80)	6M 925 (932.38)	12M 900 (931.28)
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Chris Turner, chris.turner@ing.com

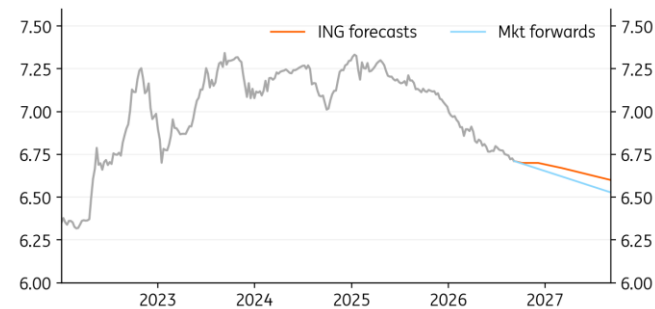


Asia

USD/CNY

CNY appreciation trajectory remains intact

Current spot: 6.7106



Source: Refinitiv, ING forecasts

- USDCNY continued to grind lower over the past month, reaching 6.71 at the time of writing, which is the lowest level since early 2023.
- The CNY has shrugged off widening US-China yield spreads, as market participants weigh the risks of CNY appreciation with the interest rate spreads. The main impetus for CNY strength continues to be exporter conversions, as China's trade surplus remains massive. Rallies in the USDCNY have typically been sold into by exporters this year.
- We hold our 6.67-6.92 fluctuation band for 2H26, and risks remain tilted to the downside. A contrarian view: yield spreads might further widen if the Fed hikes and the PBoC cuts rates (the current ING forecast), and at some point it may draw CNY bears back into action.

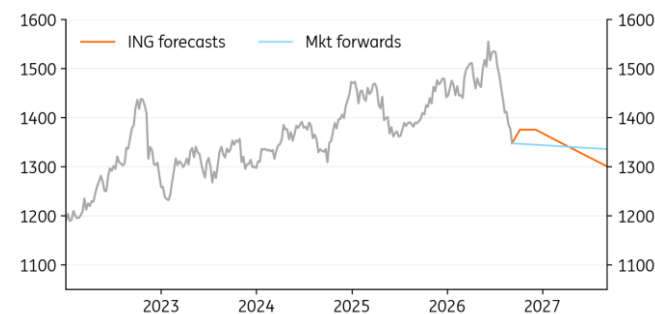
ING forecasts (mkt fwd)	1M 6.70 (6.6976)	3M 6.70 (6.6686)	6M 6.67 (6.6239)	12M 6.60 (6.5278)
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Lynn Song, lynn.song@asia.ing.com

USD/KRW

Sustaining a break of 1350 will be tough

Current spot: 1344.83



Source: Refinitiv, ING forecasts

- USD/KRW's jaw-dropping decline continues, with the fall from the summer's high now around 13%. This pair does occasionally have corrections of this magnitude – e.g. in 2022 – and we suspect a move below 1350 will be hard to sustain in the near term. This is especially so since we think the dollar can find some support from a Fed hike in September.
- But the medium-term trend looks to have shifted. Korean exporters now seem to have a lot more confidence in the won and the 3.00% policy rate looks attractive. This could be taken to 3.50% over the next six months according to the Bank of Korea.
- Strengthening domestic demand on the chip boom clearly helps.

ING forecasts (mkt fwd)	1M 1375 (1344.14)	3M 1375 (1342.74)	6M 1350 (1340.14)	12M 1300 (1335.44)
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Chris Turner, chris.turner@ing.com

USD/INR

INR likely to stabilise at current levels

Current spot: 94.46



Source: Refinitiv, ING forecasts

- GDP growth surprised on the upside in 2Q, rising by 7.8% YoY on the back of strong consumer demand, resilient exports, and robust public capital expenditure. While growth is likely to moderate in 2H, we still expect a healthy 7.1% expansion for the full year, reinforcing underlying support for the INR.
- Recent measures to attract FCNR deposits have exceeded expectations, generating inflows of more than USD125bn. These inflows should help swing the anticipated balance-of-payments deficit into a surplus of over USD50bn, while further strengthening the RBI's FX reserve position.
- Foreign investment in Indian equities rebounded in July and August, providing an additional tailwind for the currency. We expect USD/INR to stabilise around current levels, supported by rising FX reserves and the RBI's ability to manage market pressures, including a sizeable, short FX position.

ING forecasts (mkt fwd)	1M 94.60 (94.68)	3M 94.50 (95.18)	6M 94.00 (95.95)	12M 94.00 (97.45)
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Deepali Bhargava, deepali.bhargava@ing.com

USD/IDR

Under-performance in IDR to remerge

Current spot: 17635



Source: Refinitiv, ING forecasts

- IDR was Southeast Asia's best-performing currency last month, supported by renewed foreign inflows into equity and bond markets and broad US dollar weakness. However, concerns over government policy, including greater intervention in the private sector, and the risk of a sovereign rating downgrade continue to weigh on sentiment.
- The broader external account picture has yet to improve. Weak FDI inflows and a widening current account deficit are likely to keep depreciation pressure on the rupiah. We therefore continue to expect Bank Indonesia to deliver one additional 25bp rate hike this year.
- Falling FX reserves and weakening reserve adequacy have reduced BI's scope for aggressive FX intervention. While we are lowering our USD/IDR forecast to reflect recent IDR strength, we continue to expect depreciation pressures to re-emerge.

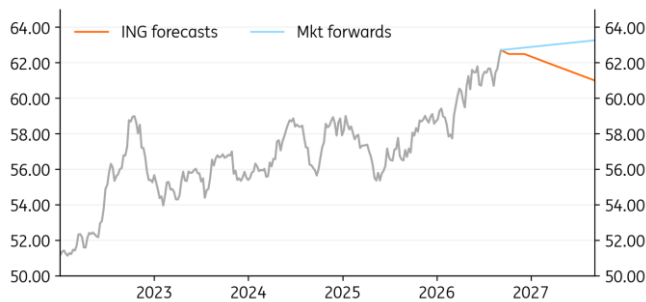
ING forecasts (mkt fwd)	1M 17800 (17680)	3M 18000 (17764)	6M 18000 (17870)	12M 17800 (18085)
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Deepali Bhargava, deepali.bhargava@ing.com

USD/PHP

Weakening bias to persist for PHP

Current spot: 62.61



Source: Refinitiv, ING forecasts

- The BSP raised rates by 25bp to 5.0% last month and delivered a hawkish message, lifting its 2027 inflation forecast amid concerns over El Niño-related food price pressures and stronger-than-expected wage growth.
- With inflation risks remaining elevated and core inflation yet to show convincing moderation, we continue to expect another 25bp rate hike in 4Q26, despite GDP growth continuing to surprise significantly on the downside in 2Q.
- Real policy rates are now close to historic lows, reducing the degree of monetary restraint. At the same time, interest rate differentials between the Philippines and the US have narrowed materially, limiting support for the peso. Peso stability could face additional pressure if the Fed delivers another 25bp rate hike as we expect.

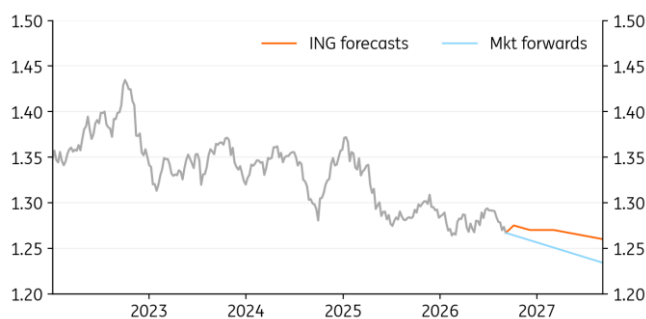
ING forecasts (mkt fwd)	1M 62.50 (62.70)	3M 62.50 (62.81)	6M 62.00 (62.96)	12M 61.00 (63.27)
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Deepali Bhargava, deepali.bhargava@ing.com

USD/SGD

SGD should continue to outperform

Current spot: 1.2663



Source: Refinitiv, ING forecasts

- Singapore continues to benefit from robust AI-related investment and data centre activity, which is sustaining domestic demand and contributing to upward pressure on services inflation.
- While July's inflation data undershot consensus expectations, the continued acceleration in both headline and core inflation, coupled with persistent upside risks from energy, food and domestic demand, suggests the MAS may not be done tightening.
- In July, the MAS surprised markets by increasing the slope of the SGD NEER policy band "very slightly", signalling greater concern about inflation risks than investors had anticipated. As such, we believe the October policy meeting remains live and cannot rule out further modest policy tightening. We expect SGD to continue to outperform within the region.

ING forecasts (mkt fwd)	1M 1.27 (1.2643)	3M 1.27 (1.2591)	6M 1.27 (1.2509)	12M 1.26 (1.2341)
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Deepali Bhargava, deepali.bhargava@ing.com

USD/TWD

TWD appreciates as headwinds fade

Current spot: 31.55



Source: Refinitiv, ING forecasts

- The TWD strengthened over the past month, with the USDTWD dropping from around 32.5 to 31.6, despite a relatively steady USD backdrop. With Taiwan's peak dividend season passing, this removed a source of outflow pressure.
- Equity market inflows and exporter USD selling were the main sources of support for the TWD over the past month. Furthermore, the CBC looks increasingly likely to hike rates by year-end, perhaps as early as this month given the upside surprises in inflation.
- Looking ahead, we still hold an appreciation bias for the TWD in the medium term, but we're looking for broadly sideways momentum in the short-term. We have pushed back the timeline for our TWD appreciation and now look for the USDTWD to end the year around 31.5.

ING forecasts (mkt fwd)	1M 31.60 (31.57)	3M 31.50 (31.45)	6M 31.30 (31.28)	12M 31.10 (30.91)
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Lynn Song, lynn.song@asia.ing.com

ING foreign exchange forecasts

EUR cross rates	Spot	1M	3M	6M	12M	USD cross rates	Spot	1M	3M	6M	12M
Developed FX											
EUR/USD	1.16	1.15	1.16	1.18	1.19						
EUR/JPY	181	183	184	186	187	USD/JPY	155	159	159	158	157
EUR/GBP	0.86	0.86	0.87	0.88	0.9	GBP/USD	1.35	1.34	1.33	1.34	1.32
EUR/CHF	0.94	0.94	0.94	0.94	0.95	USD/CHF	0.81	0.82	0.81	0.80	0.80
EUR/SEK	11.15	11.05	10.90	10.80	10.60	USD/SEK	9.59	9.61	9.40	9.15	8.91
EUR/NOK	10.79	10.70	10.60	10.55	10.50	USD/NOK	9.28	9.30	9.14	8.94	8.82
EUR/DKK	7.47	7.47	7.47	7.47	7.46	USD/DKK	6.43	6.50	6.44	6.33	6.27
EUR/CAD	1.61	1.60	1.60	1.62	1.62	USD/CAD	1.38	1.39	1.38	1.37	1.36
EUR/AUD	1.61	1.60	1.59	1.62	1.61	AUD/USD	0.72	0.72	0.73	0.73	0.74
EUR/NZD	1.98	1.95	1.97	1.97	1.95	NZD/USD	0.59	0.59	0.59	0.60	0.61
EMEA											
EUR/PLN	4.31	4.3	4.29	4.28	4.28	USD/PLN	3.71	3.74	3.70	3.63	3.60
EUR/HUF	362.2	365	360	355	362	USD/HUF	311.6	317	310	301	304
EUR/CZK	24.21	24.20	24.2	24.15	24.1	USD/CZK	20.83	21.0	20.9	20.5	20.3
EUR/RON	5.25	5.25	5.25	5.26	5.3	USD/RON	4.52	4.57	4.53	4.46	4.45
EUR/RSD	117.35	117.30	117.30	117.20	117.20	USD/RSD	100.97	102.00	101.12	99.32	98.49
EUR/UAH	51.75	51.41	51.97	52.98	53.43	USD/UAH	44.53	44.7	44.8	44.9	44.9
EUR/KZT	529.2	529.0	539.4	548.7	571.2	USD/KZT	455.2	460	465	465	480
EUR/UZS	13703.5	13466.5	13340.0	13570.0	13923.0	USD/UZS	11790.0	11710	11500	11500	11700
EUR/TRY	56.34	56.35	59.04	63.84	71.04	USD/TRY	48.44	49.00	50.90	54.10	59.70
EUR/ZAR	18.55	18.69	18.85	18.88	19.04	USD/ZAR	15.96	16.25	16.25	16.00	16.00
EUR/ILS	3.49	3.51	3.54	3.60	3.63	USD/ILS	3.00	3.05	3.05	3.05	3.05
LATAM											
EUR/BRL	5.96	5.92	5.97	5.90	5.65	USD/BRL	5.13	5.15	5.15	5.00	4.75
EUR/MXN	19.63	19.84	20.01	20.36	20.53	USD/MXN	16.89	17.25	17.25	17.25	17.25
EUR/CLP	1086.26	1064	1073	1092	1071	USD/CLP	934.58	925	925	925	900
Asia											
EUR/CNY	7.80	7.71	7.77	7.87	7.85	USD/CNY	6.71	6.70	6.70	6.67	6.60
EUR/IDR	20487	20470	20880	21240	21182	USD/IDR	17635	17800	18000	18000	17800
EUR/INR	109.79	108.79	109.62	110.92	111.86	USD/INR	94.46	94.60	94.50	94.00	94.00
EUR/KRW	1563.10	1581	1595	1593	1547	USD/KRW	1344.83	1375	1375	1350	1300
EUR/PHP	72.77	71.88	72.50	73.16	72.59	USD/PHP	62.61	62.50	62.50	62.00	61.00
EUR/SGD	1.47	1.47	1.47	1.50	1.50	USD/SGD	1.27	1.28	1.27	1.27	1.26
EUR/TWD	36.68	36.34	36.54	36.93	37.01	USD/TWD	31.55	31.60	31.50	31.30	31.10

Source: Refinitiv, ING

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Article | 7 September 2026

FX

G10 FX Talking: Dollar downtrend delayed

What we re expecting to be a 25bp Fed rate hike on 16 September should provide some temporary support for the dollar – particularly against the low-yielding currencies. We are now dropping our year-end 2026 EUR/USD forecast to 1.16 from 1.18, and delaying expectations for a clear rally until next spring, when US inflation is much closer to 2%



Higher US policy rates can keep the dollar supported for a little longer

Main ING G10 FX Forecasts

	EUR/USD		USD/JPY		GBP/USD	
1M	1.15	↓	159	↑	1.34	↓
3M	1.16	↓	159	↑	1.33	↓
6M	1.18	↑	158	↑	1.34	↓
12M	1.19	↑	157	↑	1.32	↓

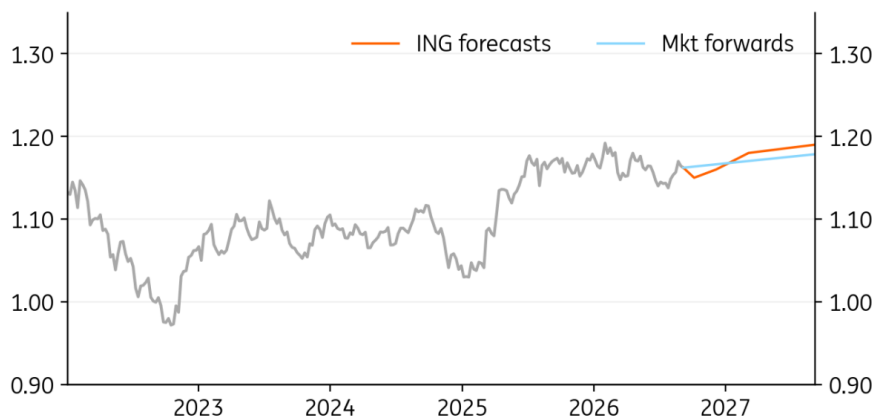
EUR/GBP		EUR/CHF		USD/CAD	
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1M	0.86	→	0.94	→	1.39	↑
3M	0.87	↑	0.94	→	1.38	→
6M	0.88	↑	0.94	↑	1.37	→
12M	0.90	↑	0.95	↑	1.36	→

EUR/USD: September Fed hike delays dollar drop

	Spot	One month bias	1M	3M	6M	12M
EUR/USD	1.1623	Bearish ↘	1.15	1.16	1.18	1.19

- It is a close call, but after Kevin Warsh's hawkish speech at Jackson Hole, we now see a 25bp Fed hike to 4.00% on 16 September. The baseline view then assumes unchanged Fed policy until the fourth quarter of 2027. Importantly, we do not see a significant drop in short-dated US rates until the second quarter of next year, when US headline inflation should be back to 2%.
- A flatter US yield curve, assuming no disasters at the long end of the Treasury curve, can keep the dollar better supported against the low yielders into early 2027. Hence the lower EUR/\$ profile.
- Expect an ECB hike to 2.50% on 10 September, but it may prove a dovish hike in light of the pressure building on French bonds ahead of budget season and elections next March.

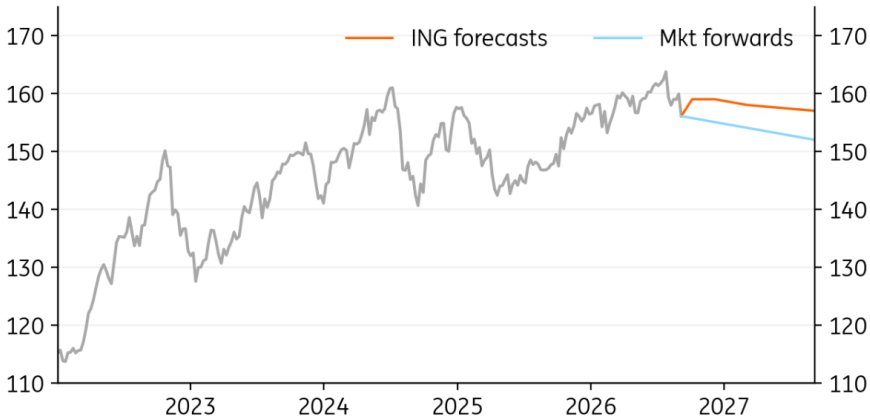


Source: Refinitiv, ING Forecasts

USD/JPY: Highly volatile

	Spot	One month bias	1M	3M	6M	12M
USD/JPY	155.50	Bullish ↗	159.00	159.00	158.00	157.00

- Joint US-Japan intervention a month ago has been backed up by frenzied speculation of a Japanese policy response at home. The market now prices a Bank of Japan rate hike to 1.25% on 18 September, with strong expectations of another hike in December. One-month JPY OIS rates are now priced at 2.00% next summer, up by 50bp over the last month.
- A faster pace of BoJ tightening and speculation that Japan's \$2tr GPIF could increase portfolio weights to domestic assets have dragged USD/JPY to 155. Lots of yen-positive news is priced in.
- A Fed hike can see USD/JPY trading a wide 155-160 range, rather than breaking lower just yet. But downside risks prevail if we are underestimating a Washington-Tokyo policy accord.

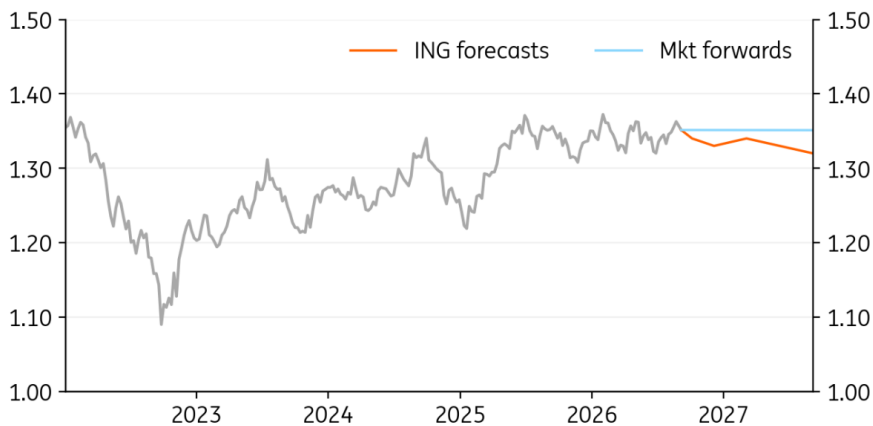


Source: Refinitiv, ING Forecasts

GBP/USD: Fiscal story returns

	Spot	One month bias	1M	3M	6M	12M
GBP/USD	1.3532	Bearish ↘	1.34	1.33	1.34	1.32

- Sterling has been reasonably supported, helped by its high 3.80% deposit rate and low volatility. There was a hint of sterling weakness when the global bond sell-off dragged 10-year gilt yields over 5.20%, but it proved fleeting. The focus could shift over the next couple of months to the fiscal side, with new Chancellor John Healey delivering his first budget on 28 October.
- Presumably, fiscal credibility will be paramount, but investors will be interested in any possible GBP-negative tax rises emerging.
- Money markets still price a 70bp Bank of England tightening cycle, which we see as unlikely. Those expectations may not completely disappear until early next year, however.

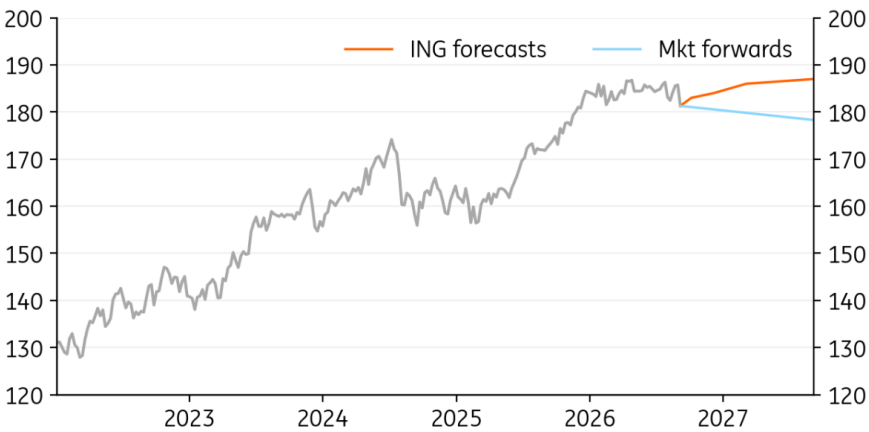


Source: Refinitiv, ING Forecasts

EUR/JPY: Intervention watch ongoing

	Spot	One month bias	1M	3M	6M	12M
EUR/JPY	180.7200	Bullish ↗	183.00	184.00	186.00	187.00

- Following the US Treasury’s decision to intervene in EUR/JPY in late July, this pair comes off sharply whenever there is talk of ‘rate checks’ or imminent intervention. As per the USD/JPY view, it looks like the yen has a lot of the good news priced in already, and it would take a 50bp BoJ rate hike on 18 September to drive this cross a lot lower. A 180-185 range remains our preference here.
- Another factor speaking against a summer 2024-like sell-off (EUR/JPY fell 11% at the time) is that the speculative market is far less short yen now than it was back then.
- Risks are probably skewed to the downside if we are underestimating Japanese initiatives or French politics flare up.

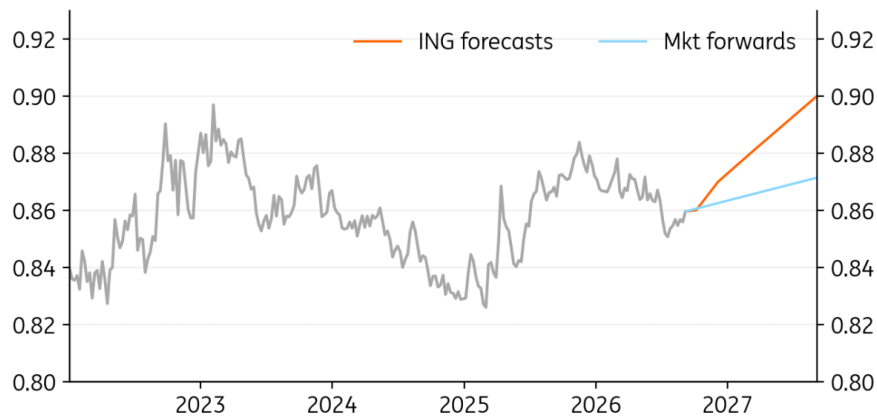


Source: Refinitiv, ING Forecasts

EUR/GBP: Finding the right level

	Spot	One month bias	1M	3M	6M	12M
EUR/GBP	0.8589	Neutral	0.86	0.87	0.88	0.90

- Three-month EUR/GBP realised volatility has fallen to the lowest levels on record at under 3% per annum. FX option prices have never been lower. Clearly the market thinks EUR/GBP has found some equilibrium level in the 0.85-0.86 area.
- We had been looking for some sterling weakness to be coming through by now, but low volatility conditions and sterling's high risk-adjusted yields look to be keeping it bid.
- UK activity data typically slows down into year-end and, at the margin, will cement the majority position of the doves at the BoE. We still like EUR/GBP heading higher but are lowering the profile as high energy keeps tightening expectations embedded.

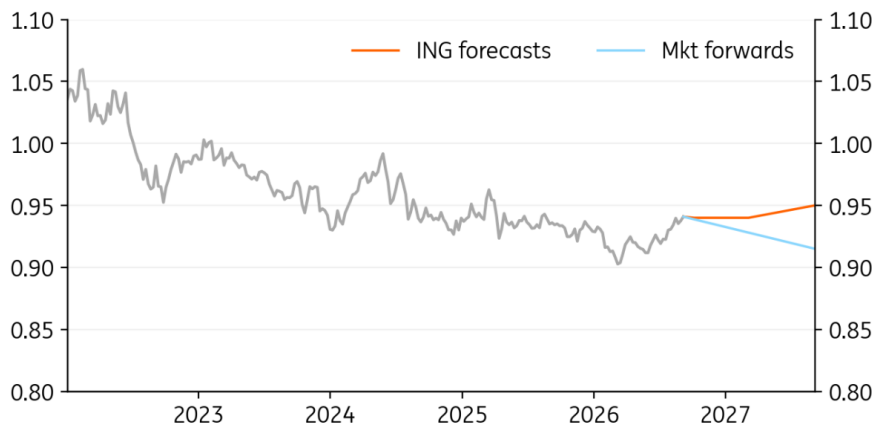


Source: Refinitiv, ING Forecasts

EUR/CHF: Rate differentials versus the debasement trade

	Spot	One month bias	1M	3M	6M	12M
EUR/CHF	0.9415	Neutral	0.94	0.94	0.94	0.95

- Two opposing forces are driving EUR/CHF at present. The first is higher energy prices, which are pushing short-term interest rates higher around the world. But the Swiss National Bank is seen as one of the last to hike given that low inflation and wider differentials have largely supported EUR/CHF. Against that is the debasement trade. The first action of investors on hearing of US Treasury intervention in the bond market was to sell USD/CHF.
- The SNB meets on 24 September. Growth has been surprising on the upside, but low inflation suggests the central bank will be in no hurry to tighten.
- Expect EUR/CHF to continue trading off energy and US policy.



Source: Refinitiv, ING Forecasts

EUR/SEK: ECB and Riksbank pricing both too hawkish

	Spot	One month bias	1M	3M	6M	12M
EUR/SEK	11.1500	Mildly Bearish 	11.05	10.90	10.80	10.60

- Rising oil prices have brought renewed upside volatility to EUR/SEK, with developments in the Middle East set to remain the key near-term driver.
- We have become less convinced that the Riksbank will remain on hold through year-end. February remains our baseline for the next hike, but the risk of an earlier insurance move in November or December has increased. The outlook will depend largely on energy prices, core CPI developments, and policy decisions by the ECB and Fed.
- Markets are pricing around 30bp of tightening by year-end and almost 90bp by end-2027. While we view that pricing as overly hawkish, the same is true of the EUR curve, limiting the case for material revisions higher in the EUR/SEK forecast. Given our optimistic baseline for the US-Iran conflict, we continue to expect a downward-sloping profile.

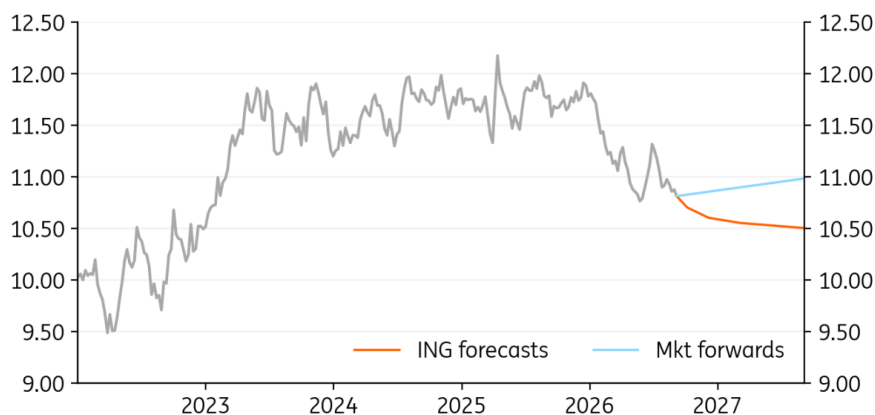


Source: Refinitiv, ING Forecasts

EUR/NOK: NOK remains in a solid spot

	Spot	One month bias	1M	3M	6M	12M
EUR/NOK	10.7900	Mildly Bearish 	10.70	10.60	10.55	10.50

- We expect the Norwegian krone to remain broadly appealing. Oil and gas prices may be slower on the way down in a new Gulf de-escalation, and likely to land above pre-war levels.
- Incidentally, we see the NOK curve as one of the few in G10 that doesn't overestimate tightening: 25bp by December and rates mostly flat at 4.50% afterwards. Our current preference is for a hike in November, but September would become an option too as underlying inflation may bounce back above 3.0% already in the August print. We don't think Norges Bank will want to close the door to further tightening, leaving some additional upside room for NOK's front-end rates.
- We see downside risks in the short-term extending to around 10.70 in EUR/NOK. From 4Q onwards, we have a shallower profile as we expect energy prices to abate.

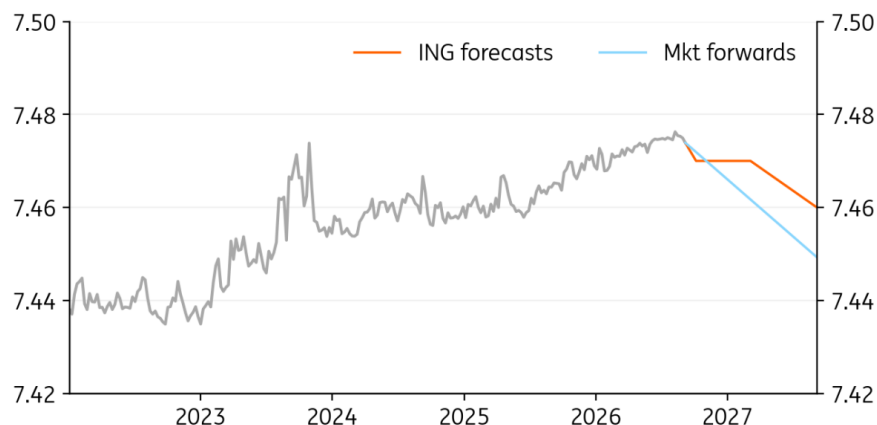


Source: Refinitiv, ING Forecasts

EUR/DKK: Scaling up FX intervention

	Spot	One month bias	1M	3M	6M	12M
EUR/DKK	7.4745	Neutral	7.47	7.47	7.47	7.46

- The Danish central bank returned to FX intervention in August, purchasing DKK5.6bn (around USD870m) to support the krone. That was a more sizeable intervention compared to the minuscule DKK0.7bn June purchases, but remains small compared to the 2022 FX buying that averaged more than DKK13bn per month.
- The small sizes can signal two things: 1) the central bank is fine with a slight appreciation in EUR/DKK (incidentally, the pair did inch lower in August) or 2) they are preparing to hike rates more than the ECB at one of the upcoming meetings.
- We think the latter remains a concrete risk, with September being a potential target meeting. We have revised our EUR/DKK marginally higher but still expect an eventual return to the 7.460 central peg by mid next year.

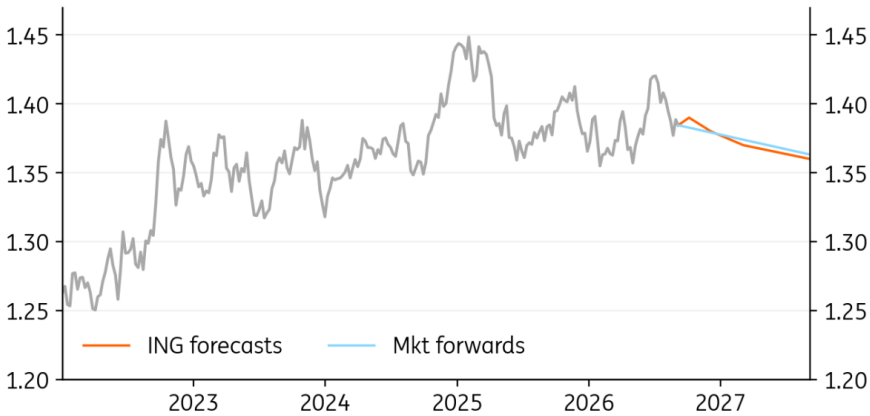


Source: Refinitiv, ING Forecasts

USD/CAD: Underpricing tariff impact

	Spot	One month bias	1M	3M	6M	12M
USD/CAD	1.3829	Mildly Bullish 	1.39	1.38	1.37	1.36

- We think there is room for some build-up in the trade-related risk premium in CAD, as ongoing tensions can have a material ripple effect on Canadian activity and jobs. That should be most evident in CAD underperforming similar commodity peers.
- The Bank of Canada has turned more hawkish but admitted that rising inflation risks are linked to energy prices rather than tariffs. A Gulf de-escalation could quickly ease those concerns, as core inflation has remained anchored at or just below 2.0%. We still aren't convinced of a hike this year, which is now fully priced in.
- Our short-term bullish USD view, paired with an underpriced tariff premium, can lift USD/CAD back to 1.39-1.40 in the next few weeks. But we assume negotiations will eventually lead to a deal, and a USD decline in 1H27 can take the pair back to 1.37.

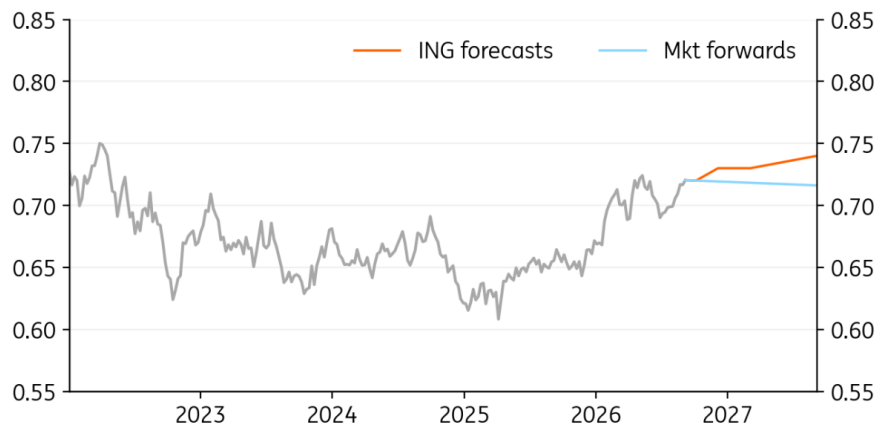


Source: Refinitiv, ING Forecasts

AUD/USD: RBA can hike once more

	Spot	One month bias	1M	3M	6M	12M
AUD/USD	0.7222	Neutral	0.72	0.73	0.73	0.74

- A hot CPI print in July, followed by strong 2Q GDP figures, has reinvigorated hawkish expectations on the RBA. We now see a 25bp September hike to 4.60% as a very tangible possibility. Governor Michele Bullock has signalled no hesitation to tighten further if inflation proves sticky again, and a Fed hike in September can also help tilt the balance to the hawkish side.
- Market pricing is 16bp for September and 37bp by March. With Middle East uncertainty staying elevated, we expect the RBA to keep a hawkish tone, even if we don't forecast any further hikes beyond 4.60%, as our baseline remains a gradual oil decline.
- We expect AUD to weather a short-term USD rebound better than most other G10 currencies thanks to the strong domestic story. We are sticking to our 0.73 year-end AUD/USD forecast.

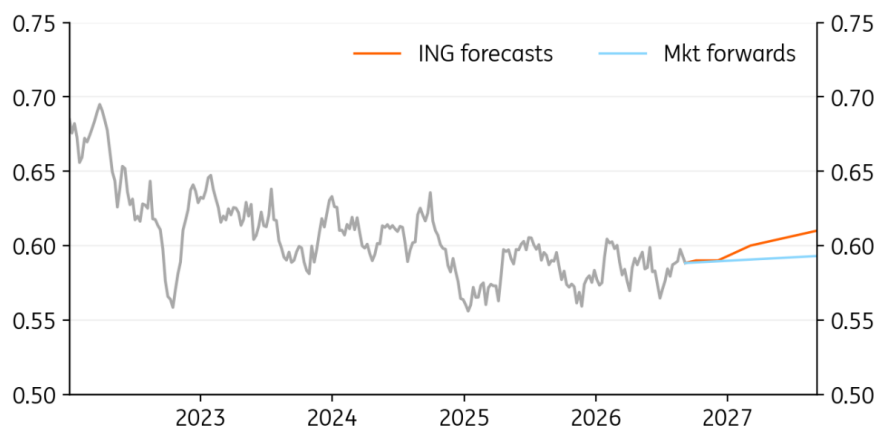


Source: Refinitiv, ING Forecasts

NZD/USD: Dovish RBNZ makes NZD a laggard

	Spot	One month bias	1M	3M	6M	12M
NZD/USD	0.5880	Neutral	0.59	0.59	0.60	0.61

- The RBNZ delivered a dovish surprise in September, even as it raised rates to 2.75%. Latest guidance suggests further tightening remains possible, but updated projections pushed back against expectations for a terminal rate above 3.0%.
- We currently expect one more hike in December (fully priced in), but think markets still overestimate the tightening cycle, with over 60bp discounted by next summer. For the moment, we agree with RBNZ projections that inflation will stay below 4.0% in 3Q and 4Q, and return below 3.0% from 2Q27. The Bank's growth concerns mean that the oil rally needs to prove quite persistent to match markets' hawkish bets.
- At this stage, AUD still looks more attractive than NZD, which is less supported by domestic fundamentals and is more dependent on an eventual USD decline to return towards 0.60.



Source: Refinitiv, ING Forecasts

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EMEA FX Talking: High yield and CEE remain in demand

A modest adjustment in US interest rates looks unlikely to unnerve the carry trade environment, and investors look likely to keep positions in the Turkish lira. Amongst the CEE currencies, the forint should come back bid after a recent correction. Medium-term fiscal plans should be presented in October which will keep the euro entry in the spotlight



The Polish zloty has come under pressure, with renewed geopolitical tensions fuelling a broader risk-off mood across markets

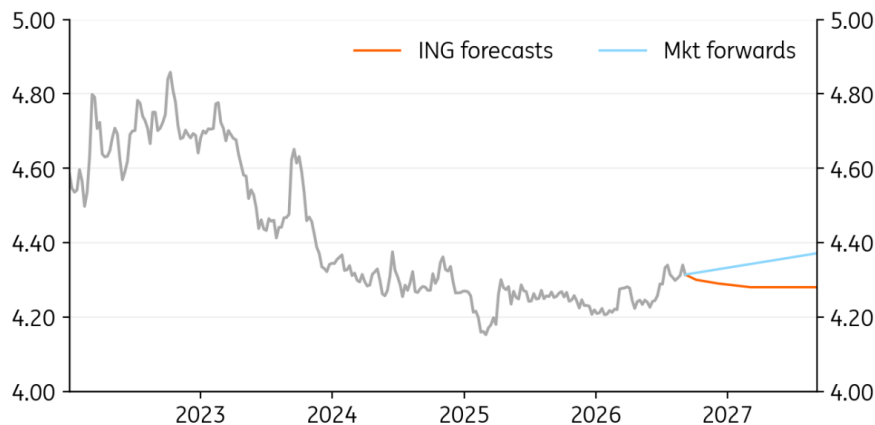
Main ING EMEA FX Forecasts

	EUR/CZK		EUR/PLN		EUR/HUF	
1M	24.20	↓	4.30	↑	365	↑
3M	24.20	↓	4.29	↑	360	↓
6M	24.15	↓	4.28	↑	355	↓
12M	24.10	↓	4.28	↑	362	↓

EUR/PLN: Zloty hit by risk-off mood

	Spot	One month bias	1M	3M	6M	12M
EUR/PLN	4.3129	Neutral	4.30	4.29	4.28	4.28

- The zloty weakened as the US-Iran conflict re-escalated and concerns about Russian hybrid warfare in Europe fuelled a risk-off mood. EUR/PLN recently rose towards 4.35, but we expect the move to be short-lived.
- Although we do not share the market's expectations of interest rate hikes in Poland in the coming months, those bets prevent the zloty from the negative impact of external factors.
- Our mid-term view on the zloty remains unchanged. Expect a limited rise in €/USD in 2H26; sustainable GDP outperformance of regional peers and expected inflows of EU funds justify slightly lower levels of the €/PLN exchange rate.

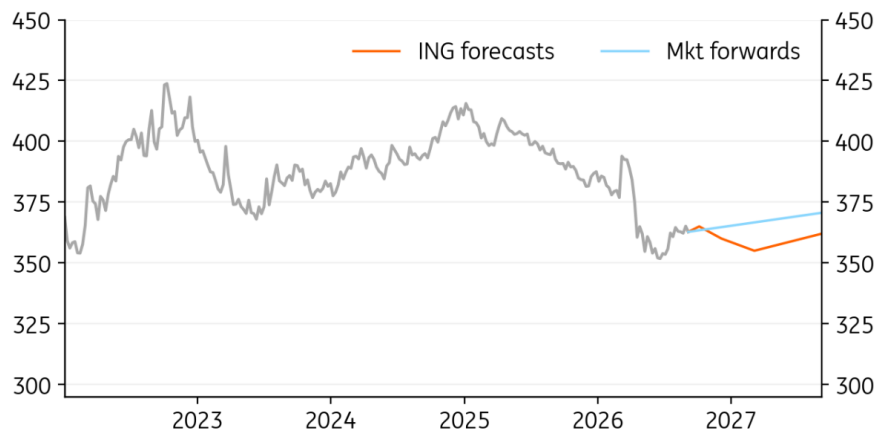


Source: Refinitiv, ING Forecasts

EUR/HUF: The gloomy days won't last too long for the forint

	Spot	One month bias	1M	3M	6M	12M
EUR/HUF	362.1800	Mildly Bullish 	365.00	360.00	355.00	362.00

- With the HUF having outperformed peers and experienced a one-sided market since April, a correction was inevitable. However, we believe that the outlook remains positive.
- The Monetary Council is rightfully non-committal in the current environment. On the one hand, the inflation outlook is much better than the central bank anticipated in June. However, unfavourable developments in risk premiums and energy prices counterbalance this. As a result, markets are pricing in only a small chance of further rate cuts.
- We believe that a brief pause in the easing cycle and some calmness in global markets could see the EUR/HUF move back to 360 or even lower. This is especially likely if the inflation target review and the medium-term budget plan, both of which are due in autumn, are credible.

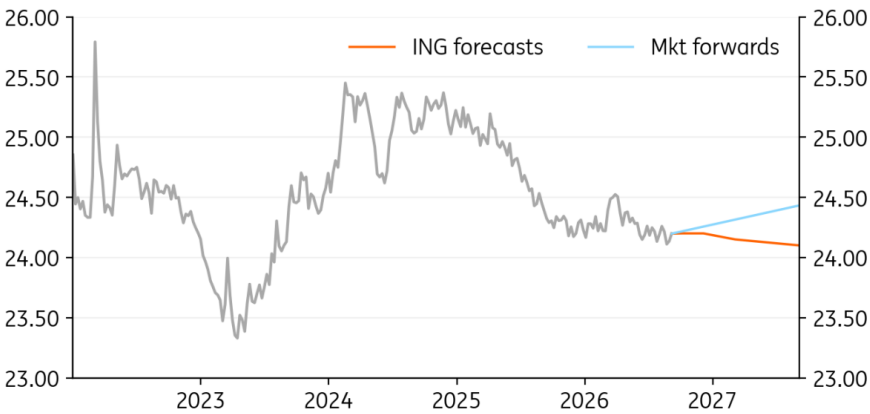


Source: Refinitiv, ING Forecasts

EUR/CZK: Koruna’s main advantage will lose its lustre

	Spot	One month bias	1M	3M	6M	12M
EUR/CZK	24.2100	Neutral	24.20	24.20	24.15	24.10

- A positive interest rate differential in both nominal and real terms has given the koruna a significant advantage over the euro in recent years. This advantage has intensified since late 2024 in real terms, reaching 2.6 percentage points in August.
- The Czech real interest rate has averaged 1.8% so far this year, while the eurozone real interest rate has remained negative since March. However, the expected pickup in Czech headline inflation is set to push the real yield close to zero early next year, reducing the koruna's leading advantage.
- Add the somewhat disappointing economic performance over 1H26, and you can conclude that the koruna is no longer poised for any substantial appreciation as it saw in 2025. The currency will hold its current value, while a gradual strengthening trend is subject to a stronger economic rebound.

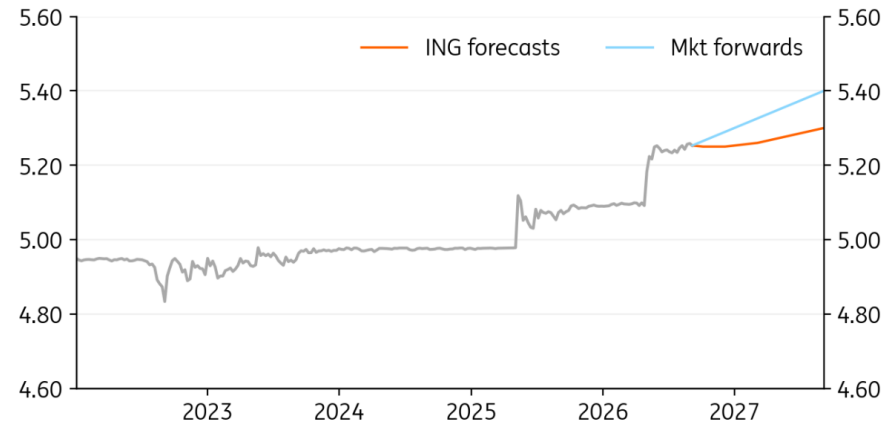


Source: Refinitiv, ING Forecasts

EUR/RON: Pressures could amplify in the near term

	Spot	One month bias	1M	3M	6M	12M
EUR/RON	5.2520	Neutral	5.25	5.25	5.26	5.30

- EUR/RON moves have amplified slightly over the past month but have nevertheless remained contained in the 5.23-5.26 range. With the upcoming S&P rating decision due on 2 October, rating worries have been mounting. Positively, the budget deficit stood at 2.34% of GDP as of July 2026 (vs 3.99% in July last year), a key positive factor supporting Romania's credit story.
- That said, the main development to watch remains the push for a fully empowered government committed to fiscal consolidation. After narrowly escaping a downgrade in the summer, our base case is that Romania will maintain it provided a solid governance deal is sealed soon.
- We expect the pair to remain within its current range and close the year near 5.25.

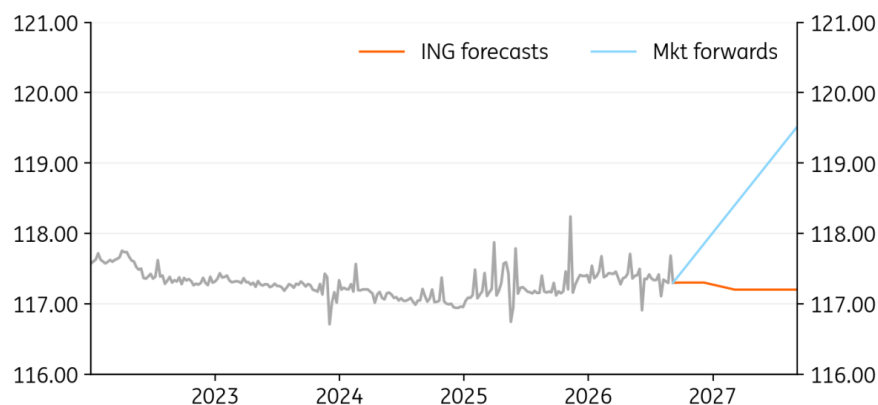


Source: Refinitiv, ING Forecasts

EUR/RSD: No major changes expected in the coming months

	Spot	One month bias	1M	3M	6M	12M
EUR/RSD	117.3500	Neutral	117.30	117.30	117.20	117.20

- EUR/RSD has continued to trade mostly sideways in the range of 117.3–117.4. Importantly, the US Treasury's OFAC has extended the operating waiver for Serbia's NIS refinery until 30 September, as the deal with MOL is in its final stages.
- The recent fiscal expansionary measures led to a revision of the deficit from 3.0% to 3.5% of GDP in 2026, mainly reflecting higher social expenditure. That said, from a macro imbalances standpoint, Serbia's position remains robust at this stage.
- At its August meeting, the National Bank of Serbia kept the key rate in place at 5.75%, noting that uncertainty remains elevated despite a better inflation outlook. Between January and July, the Bank sold €320m to keep the pair stable – we expect FX stability to remain in place.

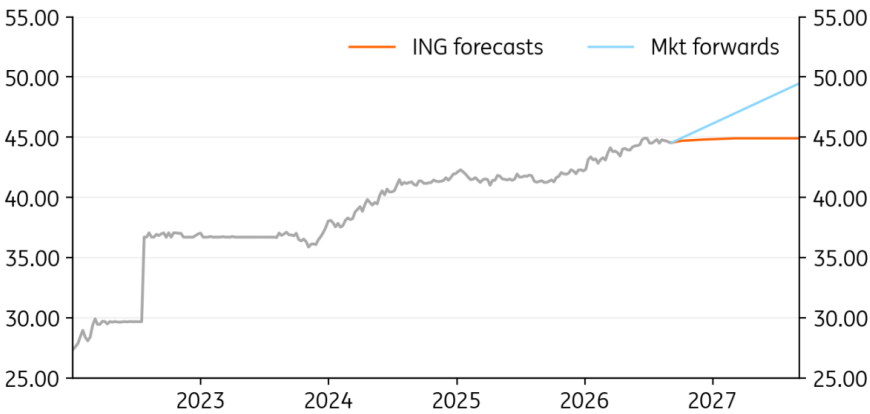


Source: Refinitiv, ING Forecasts

USD/UAH: Hryvnia strengthens despite headwinds

	Spot	One month bias	1M	3M	6M	12M
USD/UAH	44.5300	Bullish 	44.70	44.80	44.90	44.90

- Even as the US dollar strengthened globally amid a more hawkish Fed, a renewed escalation in the Middle East and the ongoing war in Ukraine, the hryvnia managed to appreciate slightly.
- The hryvnia was supported by near-record FX interventions by Ukraine’s central bank during the summer, and by July’s 50bp rate hike to 15.5%, which strengthened the currency’s resilience in an increasingly adverse external environment.
- According to National Bank of Ukraine minutes, most rate-setters believe that rates will need to be raised further this year. However, the outlook for the hryvnia remains cloudy as the macroeconomic environment remains challenging.



Source: Refinitiv, ING Forecasts

USD/KZT: High real rates favour continued carry-trade

	Spot	One month bias	1M	3M	6M	12M
USD/KZT	455.2100	Bullish 	460.00	465.00	465.00	480.00

- Contrary to our cautious expectations, the tenge appreciated to USD by 3% in August, and 5% during the summer months – despite oil flow disruptions and the decline in state support to the domestic FX market.
- In August, the combined net FX sales by quasi-sovereigns, the oil fund and the central bank dropped to \$0.3bn vs. \$1.7bn in May, while net foreign inflows into state bonds stopped after \$0.3-0.5bn inflows in June and July.
- The growing role of private capital flows has increased the KZT's reliance on carry trades, which is currently supported by high real rates which are likely to remain. Meanwhile, in the longer run, appreciation should be limited by structural factors.



Source: Refinitiv, ING Forecasts

USD/UZS: Supported by portfolio flows and restart of gold exports

	Spot	One month bias	1M	3M	6M	12M
USD/UZS	11,790.0000	Mildly Bearish 	11710.00	11500.00	11500.00	11700.00

- The soum showed 1% appreciation to USD in August after a relatively flat first two months of the summer. This was likely supported by the restart of gold exports, which totalled \$1.3bn in July.
- Between January and July, Uzbekistan exported only 18mt of gold vs. 85mt for the full-year 2025, suggesting scope for a pickup in the rest of the year, keeping us constructive on the current account and USZ prospects.
- Portfolio inflows are also likely to continue, as despite the recent indication from the central bank that the nominal policy rate of 14.00% may be lowered by year-end, the real rates are likely to remain attractive, given the 6.4% CPI.

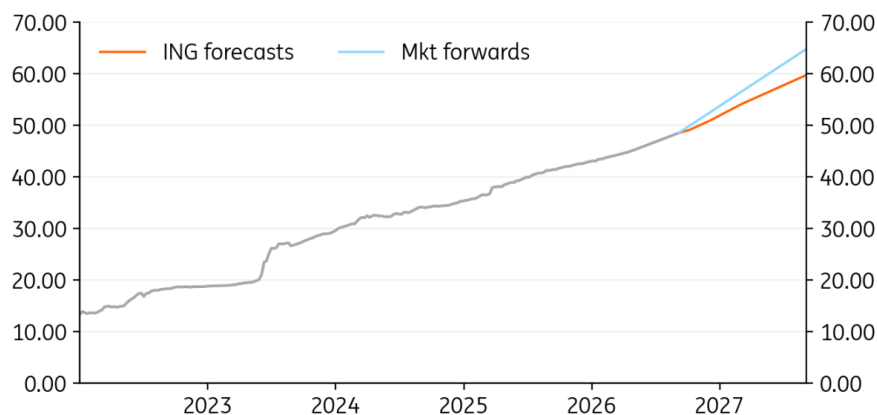


Source: Refinitiv, ING Forecasts

USD/TRY: Recovery in flows, moderation in growth

	Spot	One month bias	1M	3M	6M	12M
USD/TRY	48.4400	Bullish 	49.00	50.90	54.10	59.70

- Foreign investor positioning has recovered from the US-Iran conflict shock, with long TL positions in FX swaps exceeding pre-war levels. However, bond inflows have remained modest. Meanwhile, TL deposit inflows continued, while the sector's dollarisation ratio fell from 39.9% in May to 38.5% by late August. Gross reserves reached US\$188.2bn.
- High borrowing costs and tighter macroprudential measures are contributing to a deeper slowdown in 2Q GDP growth. We expect the economy to maintain moderate growth in 2H26, although risks surrounding our 3.0% full-year GDP growth forecast have increased.
- Recently the central bank took a step to normalise liquidity by resuming repo auctions. Effective funding costs fell from 40% to the policy rate at 37%. The CBT is likely to remain on hold in September, but cut by 200bp to 35% in the last quarter.

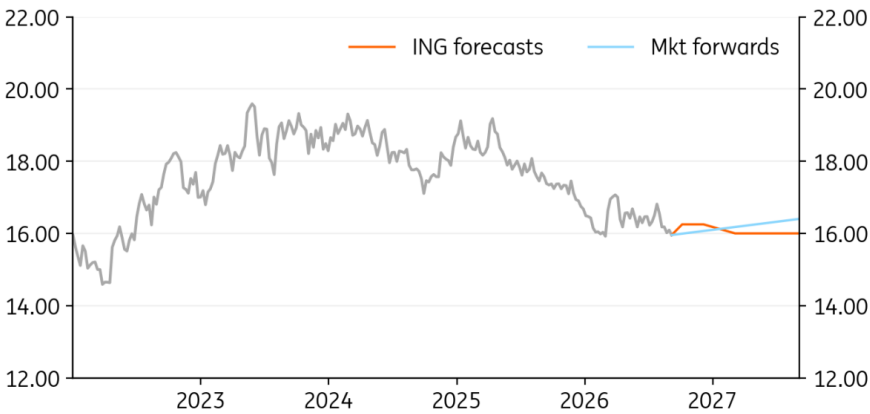


Source: Refinitiv, ING Forecasts

USD/ZAR: Holding its own

	Spot	One month bias	1M	3M	6M	12M
USD/ZAR	15.9600	Bullish ↗	16.25	16.25	16.00	16.00

- The rand is enjoying a strong quarter and is the third-best performer in the EMFX space. It does tend to benefit from the dollar debasement trade, where the pick-up in gold and precious metals tends to be ZAR-supportive. It also performs well in the low-vol carry trade environment, where 6.5% implied yields remain attractive. Here investors think the South African Reserve Bank will need to hike again over the coming quarters.
- Notably, South Africa’s sovereign CDS continues to decline, implying a rating closer to BBB than its current BB. Domestic reforms in energy, logistics and fiscal are being welcomed.
- Stronger ZAR gains will probably come in 2Q27, when \$ rates drop.

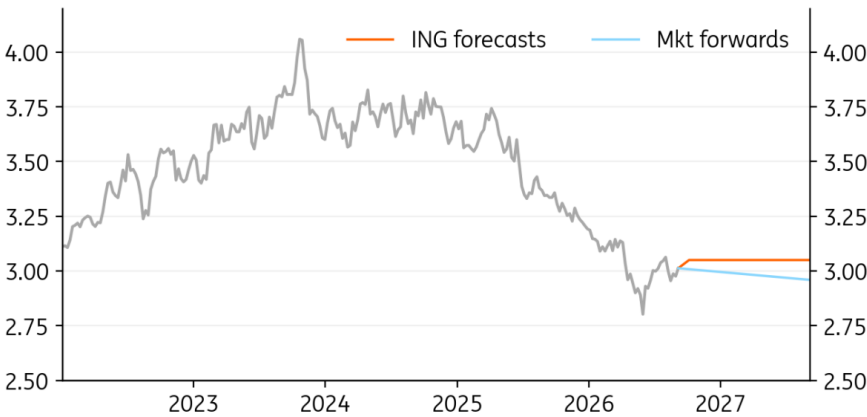


Source: Refinitiv, ING Forecasts

USD/ILS: Low inflation allows rate cuts, weaker shekel

	Spot	One month bias	1M	3M	6M	12M
USD/ILS	3.0042	Bullish 	3.05	3.05	3.05	3.05

- Low inflation allowed the Bank of Israel to cut rates again in early September, with the policy rate now at 3.25%. That compares to 4.00% at the start of the year. If money markets are to be believed, investors expect some further aggressive rate cuts over the coming months – potentially taking the policy rate closer to 2.00%. For reference, three-month implied yields stand at 2.40%.
- FX buying intervention earlier in the year, rate cuts and what should now be at least one Fed hike should serve to keep USD/ILS above 3.00 now – which is the BoI preference.
- We also think the shekel is one of the most closely correlated currencies to the tech boom, so any correction here can weigh.



Source: Refinitiv, ING Forecasts

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Latam FX Talking: Polls tighten in the Brazilian election

The first round of the Brazilian presidential election takes place in early October. President Lula s lead over Flavio Bolsonaro is crumbling and any further swing towards Bolsonaro could see the real favoured on the prospect of deregulation and fiscal consolidation. Elsewhere, we doubt Mexican peso gains sub-17/USD are sustainable



Tighter Brazilian election poll results are lending support to the local currency

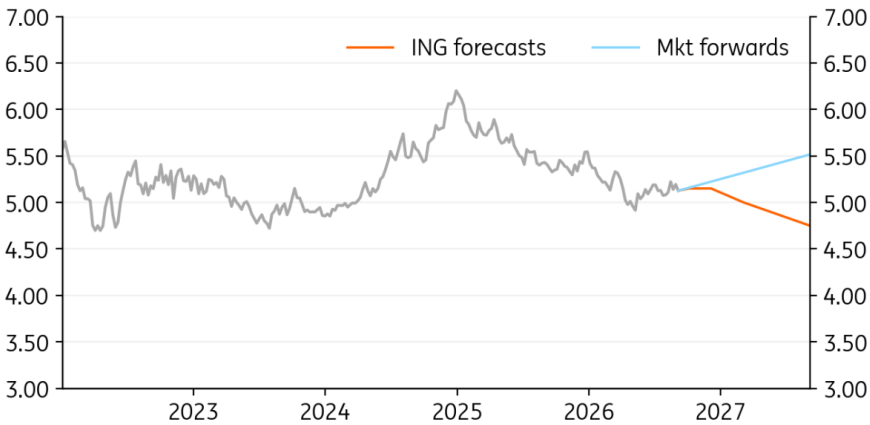
Main ING Latam FX Forecasts

	USD/BRL		USD/MXN		USD/CLP	
1M	5.15	↓	17.25	↑	925	↓
3M	5.15	↓	17.25	↑	925	↓
6M	5.00	↓	17.25	↑	925	↓
12M	4.75	↓	17.25	↓	900	↓

USD/BRL: Presidential election race tightens

	Spot	One month bias	1M	3M	6M	12M
USD/BRL	5.1261	Neutral	5.15	5.15	5.00	4.75

- Opinion polls show President Lula’s lead over Flavio Bolsonaro narrowing sharply ahead of the 4 October election. As always, it is quite personal, with President Lula’s son now seen weighing on his father’s chances, and negative headlines on Supreme Court Justice Alexandre de Moraes. Some polls have Lula’s lead cut to just 1-2%. Foreign investors prefer Bolsonaro’s policies of fiscal restraint and deregulation over Lula’s plans for more social spending.
- We expect the BRL to hold onto recent gains and continue to outperform the forwards, where three-month implied yields stand at around 12.3%.
- The market thinks BACEN can still cut the policy rate another 50bp to 13.50%, but much will depend on the election outcome.

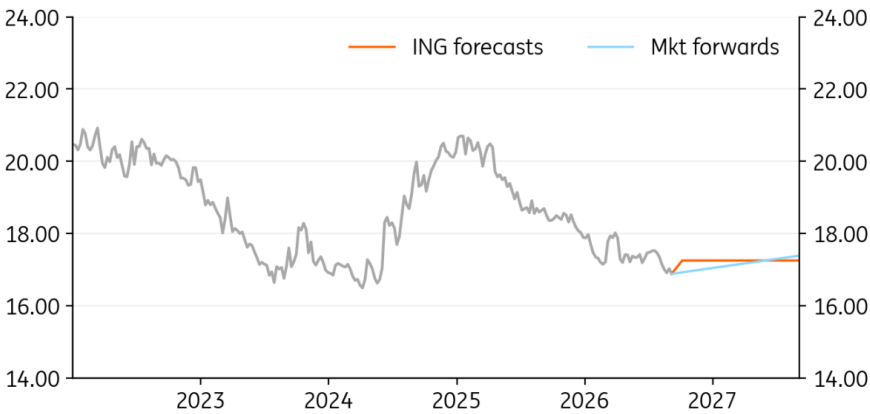


Source: Refinitiv, ING Forecasts

USD/MXN: USMCA uncertainty

	Spot	One month bias	1M	3M	6M	12M
USD/MXN	16.8900	Bullish 	17.25	17.25	17.25	17.25

- USD/MXN has been flirting with sub-17 levels as low volatility continues to favour the carry trade. Implied volatility probably has some further way to fall, meaning that the peso’s risk-adjusted carry can nudge a little higher.
- But we are not comfortable calling a sustained move lower in USD/MXN. The policy spread over the US is very narrow at 275bp and could get narrower if Banxico doesn’t follow a Fed hike.
- The macro is less MXN-supportive too. Washington switching to an annual review of the USMCA damages the investment environment. Reports suggest some automakers might move production facilities from Mexico to Vietnam now.

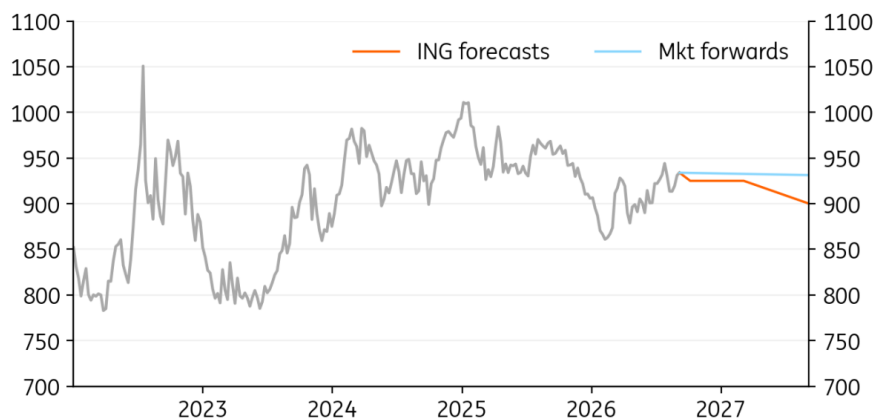


Source: Refinitiv, ING Forecasts

USD/CLP: Copper challenges

	Spot	One month bias	1M	3M	6M	12M
USD/CLP	934.5800	Mildly Bearish 	925.00	925.00	925.00	900.00

- The pickup in short-dated US yields has helped USD/CLP move closer to the top of its 910-950 range. Copper prices remain supportive for CLP, generating strong profits for local miner Codelco, but mask local production challenges. Here, Chile's copper production has fallen 10% YoY, with northern mines hit by bad weather. A super El Niño later this year may only make matters worse.
- A low-probability, high-impact, and negative event for copper and the peso is the US tariff story. Copper stockpiles are still being sucked into the US ahead of possible tariffs. Were tariffs to be avoided, these flows could strongly reverse.
- CLP is a little more vulnerable now that US rates are higher.



Source: Refinitiv, ING Forecasts

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